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Our Vision

To be a world class producer of sugar and energy.

Our Mission

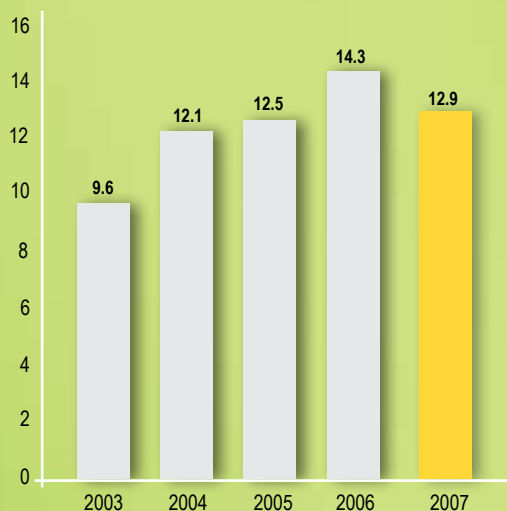
To consistently satisfy consumer needs for sugar and energy through efficient and innovative practices while meeting the diverse expectations of all our stakeholders.

Our Key Values

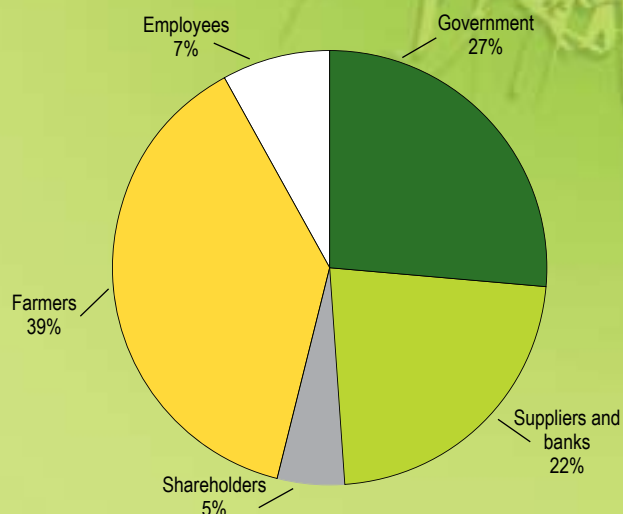
- Consistently offer quality products and services to our customers.
- Uphold excellence in performance as a key business driver.
- Encourage teamwork and positive contribution from our motivated and innovative employees.
- Conduct business with our customers and all other stakeholders with integrity and probity.
- Practice fair competition.
- Observe good corporate governance at all times.
- Be a responsible corporate citizen.
- Be an equal opportunity employer guided by local laws and International Labour Organization conventions.
- Embrace internationally accepted health, safety and environmental practices in our operations.

Financial Highlights

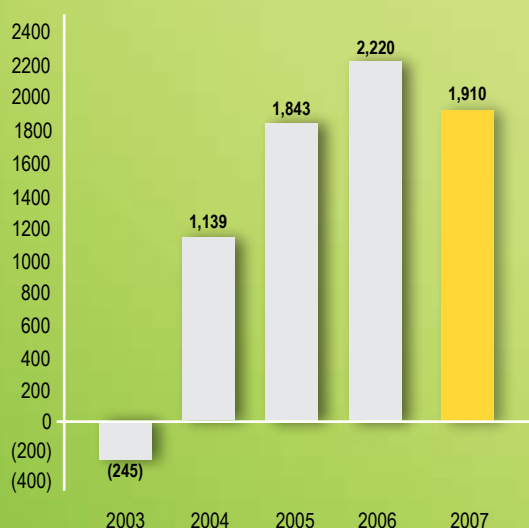
Gross Turnover (Shs billions)



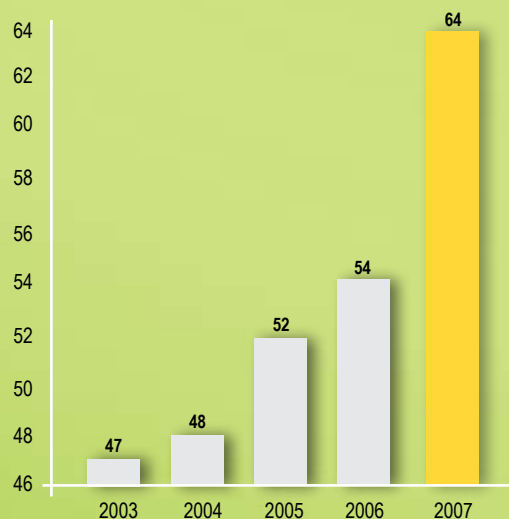
Value Added Summary - 2007



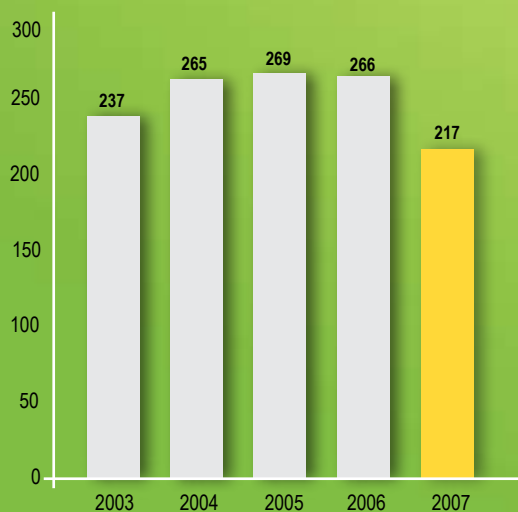
Profit Before Tax (Shs millions)



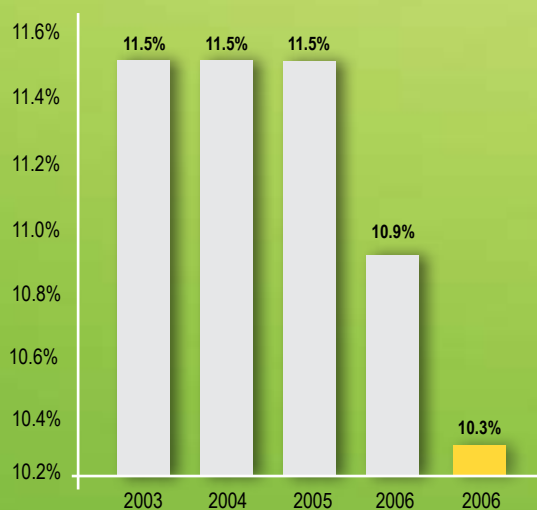
Hectares of Outgrowers Sugarcane (thousands)



Sugar Production (tonnes)



Production Efficiency (Rendement)



Five Year Summary Review

	2002/03 Shs'000	2003/04 Shs'000	2004/05 Shs'000	2005/06 Shs'000	2006/07 Shs'000
Turnover	7,628,937	9,792,503	10,080,174	11,657,540	10,381,190
Cane purchases from outgrowers	3,818,128	3,989,035	4,163,260	4,533,676	4,216,471
Profit/(loss) before taxation and exceptional items	(139,805)	1,445,042	2,073,267	2,219,889	1,909,894
Exceptional items	(105,053)	(306,492)	(229,886)	-	-
Profit/(loss) before taxation	(244,858)	1,138,550	1,843,381	2,219,889	1,909,894
Taxation	29,250	(347,099)	(553,451)	(693,274)	(516,283)
Profit/(loss) after taxation	(215,608)	791,451	1,289,930	1,526,615	1,393,611
Shareholders funds at period end	4,865,654	5,402,105	6,080,035	7,709,049	8,333,996
Return on capital employed	-5.03%	21.08%	30.32%	28.94%	22.92%
Number of shares, '000	510,000	510,000	510,000	510,000	510,000
Dividends	-	561,000	765,000	892,500	765,000
Dividends per share, Shs	-	1.10	1.50	1.75	1.50
Earnings/(loss) per share, Shs	(0.42)	1.55	2.53	2.99	2.73
Direct revenue to Government by way of Value Added Tax and Income Tax	1,890,896	2,057,967	1,536,565	2,358,878	1,663,447
Subsidy to farmers	311,408	393,535	313,964	324,336	444,789
Staff costs:					
Management	479,375	558,060	651,475	729,364	722,665
Skilled	483,300	625,059	383,760	497,947	487,451
Unskilled	225,728	368,993	222,891	200,810	203,824
Casual labour	36,621	31,247	38,510	35,009	37,371
Area under cane (Ha)					
Nucleus estate	3,502	3,481	3,503	3,695	3,910
Outgrowers	46,755	47,669	51,732	53,674	63,705
Cane processed (Thousand Tonnes)	2,065	2,291	2,348	2,451	2,119
Sugar produced (Thousand Tonnes)	237	265	269	266	217
Increase/(decrease) in production over previous period	8.07%	11.69%	1.65%	(1.25%)	(18.42%)
Number of registered farmers at period end	53,533	54,741	63,634	65,943	77,200
Number of employees at period end:					
Permanent	2,978	2,789	1,992	1,918	1,850
Seasonal	12,286	10,079	11,207	11,894	12,636
Category of permanent employees:					
Management	454	454	427	424	470
Skilled	1,427	1,522	990	977	973
Unskilled	1,097	813	575	394	407

Notice of the Annual General Meeting (AGM) 2007

Notice is hereby given that the thirty sixth Annual General Meeting (AGM) of the Shareholders of Mumias Sugar Company Limited will be held at Tom Mboya Labour College, Ring Road, Milimani-Kisumu on Friday 7th December 2007 at 11.00am to transact the following ordinary business.

Ordinary Business

1. To confirm the minutes of the thirty fifth Annual General Meeting held on 8th December 2006.
2. To receive, consider and, if thought fit, adopt the Annual Report and Financial Statements for the year ended 30th June 2007 together with the Director's and Auditor's reports thereon.
3. To confirm the interim dividend of Shs.0.50 per share paid in April 2007 and approve payment of a final dividend of Shs.1.00 per share.
4. To elect Directors:
In accordance with Article 113 of the Company's Articles of Association, Mr. Maurice Juma, Mr. Alinoor Hassan, Mr. Kungu Gatabaki and Ms. Grace Ngala are due for retirement by rotation and being eligible, offer themselves for re-election at the forthcoming AGM.
5. To approve the remuneration of the Directors for the year ended 30th June 2007 as provided in the Financial Statements.
6. To note that the Auditors, Messrs Deloitte & Touche, being eligible, continue in office in accordance with Section 159 (2) of the Companies Act (cap.486) and to authorize the directors to fix their remuneration.
7. Any other business of an AGM for which appropriate notice will have been given.

Special Business

1. To consider and if thought fit to pass the following resolution as an ordinary resolution:

"That in pursuance of Article 152 of the Company's Articles of Association, and subject to the approval of the Capital Markets Authority being obtained and upon the recommendation of the Board, it is desirable to capitalize the sum of two billion and forty million Kenya Shillings (Shs 2,040,000,000) being part of the amounts standing in the revenue reserve account and that accordingly such sum be set free for distribution amongst the holders of the ordinary shares in the capital of the Company on the register of members as at 2nd November 2007, on condition that the same not be paid in cash but be applied in paying up in full at par one billion and twenty million (1,020,000,000) ordinary shares of two shillings (shs 2) each in the capital of the Company, and that such 1,020,000,000 shares credited as fully paid accordingly be allotted to such persons respectively in the proportion of two (2) of such shares for every one (1) ordinary share held as at 2nd November 2007 and that the shares so distributed shall rank pari passu with the existing issued ordinary shares and shall be treated for all purposes as an increase of the nominal amount of capital of the Company held by each such shareholder and not as income and the Directors be and are hereby authorized to attend to all matter required to give effect to this resolution."

By order of the Board

Meshack Guto
Secretary
Private Bag
Mumias
Date: 30th October 2007

Notes:

1. Any member may by notice duly signed by him or her delivered to the Secretary not less than 3 and not more than 21 days before the day appointed for the AGM propose any other person for election to the Board, such notice to be accompanied by a notice signed by the person proposed of his or her willingness to be elected.
2. A member entitled to attend and vote at the meeting and who is unable to attend is entitled to appoint a proxy to attend and vote on his or her behalf. A proxy need not be a member of the Company. To be valid, a proxy form which is on page 67 of this report, must be duly completed by the member and either lodged at the Company's Share Registrar's, Image Registrars and Certified Public Secretaries, 8th Floor, Trans National Plaza, Mama Ngina Street, P.O.Box 9287, Postal Code 00100 GPO, NAIROBI or lodged at the Company's registered office at Mumias not later than 11.00am on Tuesday 4th December 2007 failing which it will be invalid. In case of a corporate body, the proxy form must be under its common seal. Shareholder Admission letter is also set out on page 67 for use by shareholders on the AGM day.

Notisi Kuhusu Mkutano Mkuu wa Pamoja wa Mwaka (AGM) 2007

Ilani inatolewa hapa kwamba, mkutano wa 36 wa pamoja wa mwaka wa wana hisa wa kampuni ya sukari ya Mumias utafanyika katika chuo cha Tom Mboya, Ring Road, Milimani- Kisumu Juma Desemba 7, 2007 kuanzia saa tano asubuhi kuangazia shughuli zifuatazo:-

Shughuli za Kawaida

1. Kuthibitisha kumbukumbu za mkutano wa 35 wa mwaka uliofanyika Desemba 8, 2006
2. Kupokea na ikikubalika, kuthibitisha ripoti kuhusu mkutano wa pamoja wa mwaka, na taarifa ya matumizi ya pesa kufikia Juni 30, 2006 pamoja na ripoti kutoka kwa wakurugenzi na wahasibu.
3. Kuthibitisha mgawo wa muda wa faida wa Shs. 0.50 kwa kila hisa uliolipwa Aprili 30, 2007 na wakati huo huo kupitisha malipo kwa mgawo wa mwisho wa Shs. 1.00 kwa hisa.
4. Kuwachagua wakurugenzi:

Kwa mujibu wa sehemu ya 113 ya sheria za kampuni, Mabw. Maurice Juma, Alinoor Hassan, Kungu Gatabaki na Bi. Grace Ngala wamefikisha muda wa kustaafu kwa zamu na kwa kuwa wanastahili, wamejitokeza tena kuchaguliwa wakati wa mkutano mkuu wa mwaka unaotarajiwa.
5. Kupitisha malipo ya wakurugenzi mwaka uliomalizika Juni 30, 2007 kama ilivyofafanuliwa kupitia taarifa ya matumizi ya pesa.
6. Kutambua kwamba, kwa kuwa wanastahili, wakaguzi wa hesabu Deloitte & Touche wataendelea mbele na jukumu lao kwa mujibu wa sehemu ya 159 (2) ya sheria za kampuni kifungu (cap. 486) na kuwapa uhuru wakurugenzi kuamua malipo yao.
7. Masuala mengine ya mkutano wa mwaka ambayo yatahitaji ilani kutolewa kwa muda unaofaa.

Shughuli Muhimu

1. Kuwazia na endapo itaamuliwa kupitisha maazimio yafuatayo kama ya kawaida:

"Kwamba kwa mujibu wa kifungu 152 cha sheria za kampuni na kwa kutegemea idhini kutoka kwa Halmashauri ya masoko na baada ya kupata mapendekezo ya Halmashauri, inafaa kuweka katika matumizi Shilingi Bilioni 2, 040,000,000 ambazo ni sehemu ya kiwango kilichoko katika akaunti ya hazina na kuwekwa huru kusambazwa miongoni mwa washika-dau wa hisa za kawaida katika mtaji wa kampuni kufikia Novemba 2, 2007 kwa masharti kwamba kiwango sawa na hicho hakitalipwa kwa pesa taslimu lakini kitumike kulipwa kama fungu kamili la shilingi Bilioni 1,020,000,000 hisa za kawaida za shilingi mbili kwa kila moja katika mtaji wa kampuni na kwamba, kiwango kama hicho cha Bilioni 2,020,000,000 cha hisa kilipwe kwa kila hisa moja ya kawaida iliyomilikiwa kufikia tarehe 2 Novemba 2007 na kwamba hisa zote zilizoko zitatumwa kwa lengo la kuongeza kiwango cha hisa kinachomilikiwa na wala sio mapato na kwamba hapa wakurugenzi wameidhinishwa kuhudhuria mkutano yote ya masuala yanayopasa kushughulikiwa kwa ajili ya kuliweka sawa azimio hili.

Kwa Amri ya Halmashauri

Meshack Guto
Private Bag
Mumias
Imenukuliwa Oktoba 30, 2007

Muhimu

1. Mwanachama yeyote kupitia notisi aliyotia sahihi na kuiwasilisha kwa katibu chini ya muda wa siku tatu na zisizidi 21 kabla ya siku ya mkutano mkuu wa pamoja wa mwaka anaweza kumpendekeza mtu mwingine kuchaguliwa katika Halmashauri ilmradi notisi hiyo iandamane na nyingine iliyowekwa sahihi na mtu anayempendekeza kuchaguliwa. .
2. Mwanachama anayefaa kuhudhuria na kufanya uchaguzi wakati wa mkutano lakini akawa hawezi anaruhusa ya kumteua wakala kumwakilisha na kupiga kura kwa niaba yake. Si lazima kwa wakala kama huyo kuwa mwanachama wa kampuni. Kuweza kufanya hivyo, fomu ya wakala ambayo iko ukurasa 68 wa ripoti hii lazima iwe imejazwa vizuri na mwanachama na kuwasilishwa katika ofisi za msajili wa hisa, Image Registras na Public Secretaries, Orofa ya nane jumba la Trans Nationa Plaza barabara ya Mama Ngina Slp 9282, Code 00100 GPO NAIROBI au kupelekwa katika ofisi za kampuni zilizosajiliwa mjini Mumias kabla ya saa tano Jumanne Desemba 4, 2007 na ikichelewa haitakuwa na maana. Endapo ni shirika, fomu ya wakala lazima iwe imepigwa mhuri. Mwanahisa Barua ya kumsajili mwanahisa iko ukurasa wa 68 wa ripoti hii ili kutumika siku ya mkutano wa pamoja wa mwaka.

DIRECTORS

Mr J V Bosse - Chairman
 Dr E Kidero - Managing Director
 Mr J Kinyua - (alternate Mrs E Koimett)
 Hon S A Wako - (alternate Mr A Mboya)
 Mr J G Chege
 Mr K Gatabaki
 Dr C W Wangia
 Ms G K Ngala
 Mr M R Juma
 Mr E S Osundwa
 Mr F K Kigen
 Mr A Hassan

BOARD COMMITTEES

Board Audit Committee

Mr J G Chege - Chairman
 Mr K Gatabaki
 Mrs E Koimett
 Mr A Mboya

Board Human Resource and Strategy Committee

Mr K Gatabaki - Chairman
 Dr E Kidero
 Ms G K Ngala
 Mr E S Osundwa
 Mrs E Koimett
 Dr C W Wangia

Board Tender Committee

Mr M R Juma - Chairman
 Dr C W Wangia
 Mr J G Chege
 Mr F K Kigen

COMPANY SECRETARY

Mr M J R Guto
 Certified Public Secretary (Kenya)
 Private Bag
 Mumias

REGISTERED OFFICE

Mumias Sugar Company Limited
 Private Bag
 Mumias

BANKERS

Kenya Commercial Bank Limited
 Barclays Bank of Kenya Limited
 The Co-operative Bank of Kenya Limited

ADVOCATES

E K Owinyi & Company
 Hamilton Harrison & Mathews
 Wetangula & Company Advocates
 Ameyo and Guto Advocates

AUDITORS

Deloitte & Touche
 Certified Public Accountants (Kenya)
 "Kirungii", Ring Road, Westlands
 P O Box 40092 - 00100
 Nairobi

Shareholding Information as at 31 August 2007

MAJOR SHAREHOLDERS

	Number of Shares	Percentage Holding
1 Permanent Secretary, Treasury	102,000,000	20.00
2 Kenya Commercial Bank Limited	15,500,000	3.04
3 The Jubilee Insurance Company Limited	9,562,834	1.88
4 Kanouti Trustees	7,478,701	1.47
5 Barclays(Kenya) Nominees Limited A/C 1853	4,341,531	0.85
6 Kenya Commercial Bank Nominees Limited A/C 769G	4,045,127	0.79
7 Barclays(Kenya) Nominees Limited A/C 1256	3,926,479	0.77
8 Barclays(Kenya) Nominees Limited Non-Resident A/C 9318	3,649,900	0.72
9 Kenya Commercial Bank Nominees Limited A/C 744A	3,049,648	0.60
10 Insurance Company of East Africa Limited-Pooled	2,255,405	0.44
11 Others	354,190,375	69.45
Total	510,000,000	100.00

SHAREHOLDERS PROFILE

Category	Number of Shareholders	Number of Shares	Percentage Holding
Local Corporate	3,570	272,148,110	53.36
Local Individuals	124,998	218,628,884	42.87
Foreign Corporate	22	11,480,949	2.25
Foreign Individual	454	6,886,224	1.35
East Africa Individual	30	543,733	0.11
East Africa Corporate	9	312,100	0.06
Total	129,083	510,000,000	100

MSC DIRECTORS SHAREHOLDING

Director's Name	Number of Shares
Permanent Secretary Treasury	102,000,000
Hon. Amos S. Wako	375,000
Evans Kidero	180,000
Maurice Robert Juma	21,350
Dr. Caleb W. Wangia	18,040
Mr. Edwin S. Osundwa	11,146
Ms. Grace K. Ngala	3,500

MSC SHARES DISTRIBUTION SUMMARY

Shareholding Classification	A/Cs	Shares	Shares %
1 to 1000	95,066	37,569,834	7.37
1001 to 5000	24,653	55,781,873	10.94
5001 to 10000	4,314	28,405,751	5.57
10001 to 50000	2,214	45,423,282	8.91
50001 to 100000	300	21,848,864	4.28
100001 to 1000000	364	108,056,912	21.19
1000001 to 510000000	44	212,913,484	41.75
Grand Totals	126,955	510,000,000	100.00



“The company made a profit before tax of Shs 627 million in the first six months and a profit before tax of Shs 1,283 million in the second half of the year bringing the total profit before tax for the twelve months to Shs 1,910 million.”

Board of Directors



Mr. John Bosse
Chairman

MR JOHN BOSSE (60)

Mr. Bosse is an Associate of the Chartered Institute of Bankers (ACIB-UK). He has had a long banking career with Kenya Commercial Bank where he rose to be the Chief Operating Officer of Kenya Commercial Finance Corporation. He also served as Chief Executive of Development Bank of Kenya for over 17 years before his retirement.



Dr. Evans Kidero
Managing Director

DR EVANS KIDERO (50)

Dr. Kidero is a Pharmacy graduate from the University of Nairobi and holds an MBA from United States International University. He has over 23 years experience in the Manufacturing and Media sectors where he held several senior management positions and rose to become Managing Director of GlaxoSmithkline and Nation Newspapers Division. He is the Vice-Chairman of the Kenya Sugar Board.



Mr. James Chege
Director

MR JAMES G. CHEGE (53)

Mr. Chege is an Accountant by profession with a Bachelor of Commerce degree from University of Nairobi and an MBA from Cornell University, Ithaca USA. Prior to becoming the Head of Corporate Banking at Kenya Commercial Bank, Mr. Chege worked as the Managing Director of KCFC which is a wholly owned subsidiary of KCB. He is currently Director, Bank Restructuring and Privatisation Project in the Ministry of Finance funded by the World Bank.



Mr. Joseph Kinyua
Director

MR JOSEPH KINYUA (56)

Mr. Kinyua holds a Master of Arts degree in Economics. He has worked in various senior positions in the Central Bank of Kenya, IMF and Ministry of Finance. He is currently the Permanent Secretary, Treasury. He serves on several company Boards.



Mr. Kungu Gatabaki
Director

MR KUNGU GATABAKI (62)

Mr. Gatabaki is a graduate in Economics, Project Finance and Management from Legon and Braford Universities. He worked for CDC (formerly Commonwealth Development Corporation) for 30 years and acquired wide experience in project finance, portfolio management and corporate board practices. He is the Chairman of Housing Finance Company, Grain Bulk Handlers Ltd and Shelter Afrique among several other company Boards.



Hon. Amos Wako
Director

HON AMOS WAKO (61)

Hon. Wako was awarded a Bachelor of Law degree from the University of Dar es Salaam and Master of Law and Bachelor of Science (Economics) Honours degrees by the University of London. He is an advocate of the High Court of Kenya and a Fellow of the Chartered Institute of Arbitrators. He was a partner at Kaplan and Stratton Advocates and is currently the Attorney General of Kenya.



Dr. Caleb Wangia
Director

DR CALEB WANGIA (61)

Dr. Caleb Wangia is a holder of a BSc Agriculture (Makerere University), MSc Agricultural Economics (University of Nairobi) and Ph.D Agricultural Economics (Alberta University, Canada). He has lectured at Nairobi, JKUAT and Egerton Universities. Wide experience in agricultural input supply with Hoechst, Ciba Geigy, Pfizer Corporation. He has also worked in the NGO sector with FAO and Winrock International. He is currently the Regional Director East Africa with Citizens Network for Foreign Affairs.

Board of Directors



Ms. Grace Ngala
Director

MS GRACE NGALA (57)

Ms Ngala obtained a BA degree from the University of Nairobi and an MA degree from the University of Connecticut, USA. Prior to joining MSC Board, Madam Ngala served as a Director on the Boards of National Housing Corporation and Kenya Women Finance Trust. Madam Ngala is also a member of the Professional Business Women Association.



Mr. Alinoor Hassan
Director

MR ALINOOR HASSAN (43)

Mr. Hassan is a holder of a Bachelor of Economics and Sociology degree from Egerton University and Masters of Science degree in Industrial Environmental Management from Wageningen University in the Netherlands. He has held various management positions at Egerton University. He is currently Managing Partner of Eco International.



Mr. Maurice Juma
Director

MR MAURICE JUMA (59)

Mr. Juma holds a Diploma in Statistics from the University of Dar-es-salaam. He was a career banker having worked for Central Bank of Kenya for 27 years from where he retired as a Senior Research Officer. During his long stay at Central Bank, Mr. Juma worked as a member of the joint IMF and CBK Committee on Balance of Payment Review Committee.



Mr. Edwin Osundwa
Director

MR. EDWIN OSUNDWA (60)

Mr. Osundwa is a graduate of Economics from Makerere University and a holder of a Master of Economics degree from York University, Toronto, Canada. Mr. Osundwa has worked as a Permanent Secretary in the Ministry of Planning and National Development. Prior to his retirement, Mr. Osundwa was the Permanent Secretary, Ministry of Local Government.



Mr. Meshack Guto
Company Secretary

MR MESHACK GUTO (50)

Mr. Guto has an LLB from the University of Nairobi and is an advocate of the High Court of Kenya. He is also a Certified Public Secretary - CPS(K). Prior to joining MSC, he worked as Assistant Secretary Ministry of Foreign Affairs and as Legal Officer at Kenya Industrial Estates. He served as the Chief Legal Officer at Mumias Sugar Company for 20 years prior to his retirement in June 2005. He is currently in private legal practise and the Company Secretary of MSC.



Mr. Francis Kigen
Director

MR FRANCIS KIPKOECH ARAP KIGEN (61)

Mr. Kigen is a graduate of University of Nairobi where he obtained a BA (Hons) degree before proceeding for a Master of Education Degree at the University of Malaya, Kuala Lumpur in Malaysia. He has worked as a Director of Kenya Bureau of Standards, as alternate Director Esso Kenya Limited, Human Resources/Public Affairs Manager Esso Kenya Limited. He has also worked as a Training Manager, British American Insurance Company and as Director of Kenya Institute of Personnel Management.



Mrs Esther Koimett
Alternate Director

MRS ESTHER KOIMETT (50)

Mrs. Koimett is a holder of an MBA and Bachelor of Commerce degree from the University of Nairobi. She has held various senior positions in government and the parastatal sector. She has been a Permanent Secretary, Ministry of Tourism and Information. She has also been the Managing Director of Postbank. She is currently the Investment Secretary, Ministry of Finance.



Mr. Apollo Mboya
Alternate Director

MR APOLLO MBOYA (38)

Mr. Mboya has a BA from Lucknow University, an LLB from Bombay University, Diploma in Law from Kenya School of Law and is a Certified Public Secretary. He is also an advocate of the High Court of Kenya. He has worked a Legal Specialist at UNDP. He is currently a Senior State Counsel at the Attorney General chambers



Mr. John Bosse

I am delighted to present to you shareholders, the annual report and financial statements of your company for the year ended 30th June 2007. The accounts were audited by Deloitte & Touché and received an unqualified opinion.

Financial Results

The financial results for the year ended 30 June 2007 are very encouraging in view of the unsatisfactory performance in the first half of the year. The company made a profit before tax of Shs 627 million in the first six months and a profit before tax of Shs 1,283 million in the second half of the year bringing the total profit before tax for the twelve months to Shs 1,910 million.

Profit after tax of Shs 1,393,611,000 (2006- Shs

1,526,615,000) is a decrease of 8.7% from last year. Earnings per share is Shs 2.73 (2006- Shs 2.99) which is Shs 0.26 per share lower than last year representing an 8.7% decrease.



The Commemorative Plaque for the co-generation project was unveiled by President Mwai Kibaki during his visit to Mumias Sugar Factory on September 17, 2007 where he laid the Foundation Stone in the foreground.

Operations

The company processed 2,118,563 tonnes (2006-2,450,548 tonnes) of cane, which is 13.5% lower than last year. The weather conditions for the current crop were unfavourable as there was a drought in the period September 2005 to March 2006 with only 62% of the expected rains being received. This resulted in poor cane germination and growth which was further exacerbated by cane fires from the dry conditions and arson which destroyed over 12,000 hectares of immature cane. This had a major impact on cane availability in the year resulting in cane not being harvested at optimal age and lower sucrose (polarity) in the cane.

The heavy rains in the period of November and December 2006 made it difficult to transport cane from the fields.

Industrial disputes between our cane harvesting and cane haulage contractors and their employees resulted in a loss of twenty one days of production in the period of October to December 2006, which is over 20,000 tonnes of sugar production capacity.

This adversely affected the performance for the year. Industrial harmony has been maintained since January this year.

Sugar produced was 217,474 tonnes (2006- 265,819 tonnes), which is 18.2 % below that produced last year. There were unexpected factory breakdowns which significantly reduced throughput in the period. The company has improved on the

preventive and maintenance plans to avoid future recurrence.

Sales

Gross turnover was Shs 12,864,962,000 (2006-Shs 14,255,499,000) which is 10.1% below that achieved last year. The domestic selling prices were maintained at reasonable levels for most of the year. The domestic retail selling prices of Mumias Sugar and that of imported sugar from COMESA are at comparable levels. The company continues to strengthen its brand equity to retain and increase its market share. Export markets in the region are being explored. There were no exports this year on the European Union Special Preferential Sugar Agreement as the price is not attractive following reduction of subsidies by the European Union. The company exported 10,000 tonnes on the European Union Special Preferential Sugar and 6,500 tonnes of sugar on the European Union Sugar Protocol last year.

Contribution to Government Revenue

The company's contribution to the exchequer in taxes from Value Added Tax, Sugar Development Levy, Corporation Tax and other taxes was over Shs 3.4billion in the year.

Dividends

The Directors declared and paid an interim dividend of 25% per ordinary share of Shs 2 each which is Shs 0.50 per share.

The Directors propose a second and final dividend of 50% per ordinary share of Shs 2 each which is Shs 1.00 per share. The register of members will close at 4:30 pm on 2 November 2007 up to 9 November 2007. Final dividend will be paid from 10 December 2007 to shareholders on the register as at the close of business on 2 November 2007. The final proposed dividend is accounted for as part of equity until it has been ratified at the Annual General Meeting scheduled to be held on 7 December 2007.



The mountainous heap of bagasse (a waste product from sugarcane processing) that is key to power generation.

Bonus Shares

The company currently holds KSh 5.3 billion in retained earnings. In view of the capital projects

being undertaken by the company and the need for financing of such projects, the Directors recommend a bonus share issue of two (2) ordinary shares for every one (1) share held by the creation of 1,020,000,000 ordinary shares of Shs 2 each. The bonus shares shall rank pari passu with existing ordinary shares and shall be treated for all purposes as an increase of the nominal amount of capital of the company held by each such shareholder and not as income. This shall be by capitalisation of Shs 2,040,000,000 in the company's retained earnings account. The bonus shares shall not qualify for the final dividend declared for the year ended 30 June 2007.

The register for the bonus shares issue will close at 4:30 pm on 2 November 2007. The bonus share issue is subject to approval by the Capital Markets Authority, Nairobi Stock Exchange and shareholders at the Annual General Meeting to be held on 7 December 2007.

Government Divestiture

The Government of Kenya sold to the general public a further 91,999,220 shares representing 18.04% of the issued share capital of the company during the year. This realised Shs 4.5 billion for the Exchequer. The government shareholding is now 20%.



The Diffuser Tandem commissioned in May, 1997. In the background is part of the vast Nucleus Estate.



A panoramic view of the computerized Weighbridge "B" used to bring in cane from the fields.

Outlook and Strategy

The sugar industry in Kenya has undergone a challenging period in the year due to weather changes. The effects of the drought in 2005 and early last year resulted in lower cane availability as sugar cane is a bi-annual crop harvested every 18-24 months. The world sugar prices are relatively low due to good harvests by major producing countries such as Brazil, India and Thailand. Local competition is stiff which has depressed margins.

Local production costs continue to be high due to high fuel prices resulting in high haulage costs for sugar cane and finished sugar, very poor roads in the cane zone which have to be maintained by the company, small holder farms which limit economies of scale, unreliable weather and high operational costs from local and imported goods and services.

Efforts are being made to improve on cane husbandry so as to improve yields on both the Nucleus Estate and Outgrowers' farms with farmer entrepreneurship being encouraged.

In the Finance Bill 2007, an excise duty of 120% was introduced on plastic sacks and bags. Importation and manufacture of thin plastic bags and sacks was also banned. This will affect the cost of packaging for fertiliser and other processed and unprocessed produce, sugar included. The high cost of packaging materials continues to be of concern and alternatives are being explored. The production of pre-packed sugar will be increased from 300 to 700 tonnes per day by 30 April 2008 following installation of a new packaging plant.

The Kenya government has applied for an extension of the COMESA protection on duty free sugar imports into the country and the outcome of the application is expected by November 2007. The company has strategies to address the challenges that may arise from the liberalisation of the COMESA customs tariff on sugar in March 2008. The company continues to rehabilitate, modernise and expand the factory so as to lower the cost of production. A total of Shs 650 million was spent during the year to increase the installed capacity to 300,000 tonnes of sugar per year.

The company has a Strategic Plan for the period 2008-2012 to be able to sustain growth and remain competitive. The Board of Directors is optimistic of an improved performance in the coming year.

Appreciation

I wish to acknowledge with appreciation the vital support given by the Directors in executing their responsibilities as members of the Board, Management and staff and you the shareholders for being committed and choosing to invest in Mumias Sugar Company. We assure you of our commitment to growing and enhancing shareholder value.

Thank you

J. V. Bosse
Chairman

30 August 2007



Bw. John Bosse

Ni furaha yangu kuwatangazia ninyi wanahisa ripoti ya mwaka pamoja na taarifa kuhusu matumizi ya pesa ya kampuni kipindi cha mwaka kilichomalizika Juni 30, 2007. Ripoti kuhusu matumizi ya pesa ilifanyiwa ukaguzi na Deloitte & Touche na kupokea maoni yaliyochukuliwa kupitia utaratibu usiokuwa rasmi.

Matokeo Ya Kifedha

Matokeo ya shughuli za kifedha kwa kipindi kilichomalizika Juni 30, 2007 ni ya kutia moyo ikilinganishwa na matokeo yasiyo ya kuridhisha muhula wa kwanza mwaka huu. Kampuni ilitengeneza faida ya ushuru ya shilingi milioni 627 miezi sita ya kwanza na faida nyingine kabla ya ushuru ya shilingi milioni 1, 283 kipindi cha pili cha

mwaka na kufanya jumla ya faida kabla ya ushuru kwa miezi kumi na mbili kuwa shilingi milioni 1,910.

Faida baada ya ushuru ya shilingi 1,393,611,000 (mwaka 2006 shilingi 1,526,615,000) ni punguko la

asilimia nane (8.9%) la mwaka jana.

Malipo kwa kila hisa yalikuwa shilingi 2.73 (2006-Kshs. 2.99) ambayo ni shilingi 0.26 kwa kila hisa kiwango kilichopunguka ikilinganishwa na mwaka jana na kuwakilisha asilimia 8.7

Utenda Kazi

Kampuni ilisaga tani 2,118, 563 (2006-2,450,548) za miwa kiwango kilichopunguka kwa asilimia 13.5 ikilinganishwa na mwaka jana. Hali ya hewa kipindi hiki cha upanzi wa mimea haikuwa nzuri kwani kulikuwa na kiangazi miezi ya Septemba hadi Machi 2006 huku kukipokewa asilimia 62 ya mvua iliyotarajiwa. Hali hii ilipelekea miche ya miwa kutochipuka na kukua vyema na kuchochewa zaidi na visa vya moto vilivyotokana na kiangazi na uchomaji mali kimakusudi na kuharibu ekari 12,000 za miwa ambayo haijakomaa. Hali hii ilisababisha athari mbaya kwa upatikanaji wa miwa mwaka huu na kusababisha miwa kutokatwa kwa muda wa kukomaa na kuwa na kiwango kidogo cha sukari.

Mvua kubwa iliyonyesha miezi ya Novemba hadi Desemba mwaka 2006 ilifanya iwe vigumu kusafirisha miwa kutoka mashambani hadi kiwandani.

Mizozo ya kiviwanda baina ya wavuna miwa na wanakandarasi wa usafirishaji na wafanyakazi wao ilipelekea kupatikana kwa hasara ya siku 21 za uzalishaji baina ya Oktoba na Desemba 2006. Hasara iliyopatikana ilikuwa zaidi ya kiwango cha tani 20,000 za sukari.



The recently installed Vertical Crystallizer.

Hali hii iliathiri sana matokeo kipindi hiki cha mwaka. Maridhiano ya kikazi yameimarishwa tangu Januari mwaka huu.

Sukari iliyozalishwa ilikuwa tani 217, 474 (2006-2007 - Shs. 14,316,059,000) ambayo ilikuwa chini kwa asilimia 18.2 ya sukari iliyosagwa mwaka jana. Kulikuwa na hali zisizotarajiwa za kuharibika kwa kiwanda ambazo zilisababisha kupunguka kwa kiwango cha uzalishaji kipindi chote kizima. Kampuni imeimarisha mipango ya uzuiaji na udumishaji kuepuka mikasa kama hii siku za usoni.

Mauzo

Mapato kwa jumla yalikuwa Shs. 12,864,000 (2006 - Shs. 14,316,059,000) kiwango ambacho kilikuwa chini kwa asilimia 10.1 ikilinganishwa na mwaka jana. Mauzo ya humu nchini yalithibitiwa kwa viwango nafuu kipindi chote cha mwaka. Bei ya mauzo ya sukari ya Mumias humu nchini na ile iliyoagizwa kutoka mataifa ya COMESA zimo katika viwango vinavyoweza kulinganishwa. Kampuni inazidi kuimarisha alama yake ya ubora kuhifadhi na kupanua nafasi ya soko lake. Masoko ya mauzo eneo hili yanazidi kuvumbuliwa. Hamkuwa na mauzo ya sukari katika soko maalum la mkataba wa ulaya kutokana na kutokuwepo kwa bei nafuu kufuatia kupunguzwa kwa mabaki na umoja wa Ulaya. Kampuni iliua nje tani 10,000 za sukari mataifa ya ulaya na nyingine 6,500 katika soko la mkataba wa ulaya mwaka jana.

Mchango kwa Mapato ya Serikali

Mchango wa kampuni katika mapato ya serikali kutokana na ushuru wa ziada (VAT), ushuru wa maendeleo ya sukari, ushuru wa mashirika na matozo mengineo ulikuwa zaidi ya shilingi bilioni 3.4 mwaka unaoangaziwa.

Mgawo wa Faida

Wakurugenzi walipendekeza na kulipa mgawo wa muda wa asilimia 25 kwa hisa za kawaida za shilingi mbili ambayo ni shilingi 0.50 kwa kila hisa.



A tanker drawing molasses from the Factory.

Wakurugenzi wanapendekeza mgawo wa pili na wa mwisho wa asilimia 50 kwa hisa za kawaida za shilingi 2 ambao ni shilingi moja kwa hisa. Rejista ya wanachama itafungwa saa kumi unusu jioni Novemba 2, 2007 hadi Novemba 9, 2007. Mgao

wa mwisho wa faida utalipwa kuanzia Desemba 10, 2007 kwa wanachama ambao majina yao yatakuwa katika rejista kufikia Novemba 2, 2007. Mgao wa mwisho wa faida umehesabiwa kama sehemu sawa hadi itakapothibitishwa wakati wa mkutano mkuu wa mwaka unaopangwa kufanyika mapema mwezi Desemba, 2007.

Bakshishi ya Hisa

Kwa sasa, kampuni inashikilia Shilingi Bilioni 5.3 kama mapato yaliyowekwa. Kufungamana na miradi muhimu inayoendeshwa na kampuni na haja ya kuifadhili, Wakurugenzi wanapendekeza kutolewa kwa malipo ya ziada ya hisa mbili (2) za kawaida kwa kila moja (1) iliyoshikiliwa kwa kuzalisha hisa 1,020,000,000 za kawaida za shilingi mbili kwa kila moja. Hisa za ziada zitalingana sawa sawa na hisa zilizoko za kawaida na zitachukuliwa kwa makusudi yote kama ongezeko la thamani ndogo ya mtaji wa kampuni iliyoshikiliwa na mwanahisa kama huyu wala si kama pato. Hii ni kupitia ruzuku maalumu ya Shs. 2, 040,000,000 iliyohifadhiwa katika akaunti ya mapato ya kampuni. Mgawo wa ziada hautaidhinishwa kama malipo ya mwisho ya mgawo wa faida ulioidhinishwa katika kipindi cha mwaka kilichomalizika Juni 30, 2007.

Rejista kuhusu maswala ya hisa za ziada itafungwa saa kumi unusu jioni Novemba 2, 2007. Swala kuhusu hisa za ziada litategemea idhinisho la



Work goes on at the Factory Cane Yard, a bird's eye-view from the gantry cranes.



The swollen River Nzoia as seen from the site where Mumias Sugar Company is constructing a Kshs.63 million bridge to connect Matawa and Indangalasia.

halmashauri ya masoko, Soko la Hisa la Nairobi na wanahisa wakati wa mkutano mkuu wa pamoja wa mwaka utakaofanyika mapema mwezi Desemba.

Serikali Yapunguza Hisa Zake

Serikali ya Kenya iliuzia umma hisa zaidi 91, 999,220 zilizowakilisha asilimia 18.04 ya jumla ya hisa za kampuni wakati wa kipindi hiki cha mwaka. Zoezi hili lilizalisha jumla ya shilingi Bilioni 4.5 kwa mfuko wa serikali. Hisa zinazomilikiwa na serikali kwa sasa ni asilimia 20.

Mkakati na Mtazamo

Biashara ya sukari nchini Kenya imepitia kipindi cha changamoto nyingi mwaka huu kutokana na mabadiliko ya hali ya anga. Athari za kiangazi mwaka 2005 na mapema mwaka jana zilisababisha kupunguka kwa miwa kwani zao hili huvunwa mara mbili kwa kila miezi 18-24. Bei ya zao la kimataifa ya sukari iko chini kutokana na mavuno ya kufana katika mataifa yanaoongoza ulimwengu kama vile Brazil, India na Thailand. Ushindani wa humu nchini ni mkubwa na kupunguza viwango.

Gharama za uzalishaji miwa nchini zinazidi kupanda kutokana na kuongezeka kwa bei ya mafuta na kupelekea kupanda kwa gharama za usafirishaji wa miwa na sukari iliyosagwa, barabara mbaya katika maeneo kunakokuzwa miwa ambazo

zinahitaji kampuni kuzifanyia ukarabati, mashamba madogo ambayo yanabana upanuzi, hali ya anga isiyotegemewa na gharama za juu za usimamizi kutokana na bidhaa na huduma za humu nchini zilizoagizwa kutoka mataifa ya nje.

Juhudi zinazidi kufanywa kuimarisha mbinu za kilimo ili kuongeza mazao katika mashamba ya Nucleus Estate na Outgrowers huku rasilimali za mkulima zikiimarishwa.

Katika mswada wa fedha wa mwaka 2007, ushuru wa asilimia 120 uliwekwa mifuko ya plastiki. Uagizaji na utengenezaji wa mifuko ya plastiki pia ulipigwa marufuku. Hali hii itaathiri bei ya uhifadhi wa mbolea na bidhaa nyingine zilizotayarishwa au kutotayarishwa, sukari ikiwa mojawapo. Gharama za juu za vifaa vya kuhifadhi zinazidi kutia shaka huku njia badala zikifanyiwa uvumbuzi. Uzalishaji wa sukari iliyopakiwa utaongezwa kutoka tani 300 hadi 700 kila siku kufikia Aprili 30, 2008 baada ya kuwekwa kwa mtambo mpya wa kupakia.

Serikali ya Kenya imetuma ombi lake la kuongezwa ulinzi wa COMESA kwa sukari iliyoagiwa bila kutozwa kodi nchini na majibu yake yanasubiriwa kufikia mwezi Novemba, 2007.

Kampuni imebuni mikakati kuangazia changamoto zinazoweza kutokea kutokana na kuwekwa huru kwa ushuru wa forodha kuhusu sukari mwezi Machi, 2008. Kampuni inazidi kufanya ukarabati,

kuleta muundo mpya na kupanua kiwanda chake ili kupunguza gharama za uzalishaji. Jumla ya shilingi milioni 650 zilitumika kipindi hiki cha mwaka kupanua uwezo wake hadi tani 300,000 za sukari kila mwaka.

Kampuni ina mpango wa mkakati kipindi cha miaka ya 2008-2012 kuthibiti uzalishaji na kuwa mshindani. Halmashauri ya wakurugenzi ina matumaini ya kuimarika kwa matokeo mwaka unaofuata.

Shukrani

Ningependa kutambua kwa dhati mchango uliotolewa na wakurugenzi kutekeleza majukumu yao kama wanachama katika Halmashauri, wasimamizi na wafanyakazi na wewe kama mwanahisa kwa kuwajibika na kuwekeza katika kampuni ya sukari ya Mumias. Tunatoa hakikisho letu kwako la kuwajibika kukua na kuongeza thamani ya mwanahisa.

Asanteni

J.V. Bosse

Mwenyekiti

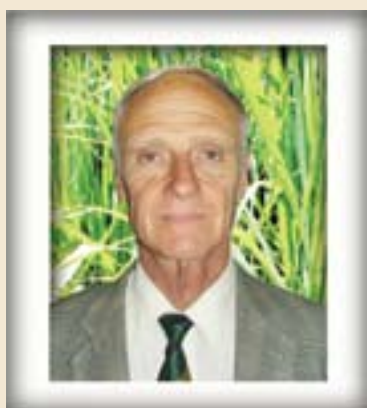
Agosti 30, 2007



Dr. Evans Kidero
Managing Director /
Chief Executive Officer



Mr. Peter Kebati
Head of Finance /
Chief Finance Officer



Mr. David Shipley
Head of Agriculture



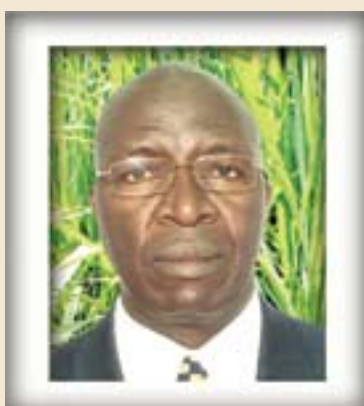
Mr. Edwin Muruka
Head of Human Resources



Mr. Wesley Koech
Head of Information Technology



Mr. Dickson Mutoka
Head of Sales and Marketing



Mr. James Luchacha
Head of Factory Operations



Mr. Evans Kaiga
Chief Internal Auditor



Dr. Evans Kidero

Background

World Sugar situation for the period 2006/2007 hit a record of 163 million metric tonnes raw value (mtrv), up from 149 million metric tonnes the previous year. Against consumption of 155 million mtrv, a surplus of 8 million mtrv is forecast. This scenario has led to sharp decreases in world prices for raw sugars from a 25 year-high of USD 500 per mt. in early 2006 to the current spot prices of about USD 280, prices that are currently below marginal production costs. This sharp rise in production was the result of expanded cane area, additional processing capacities and favourable weather conditions in most of the cane growing areas.

World sugar consumption has grown at a fairly steady pace of about 2% a year over the past decade. Most of this growth has been in developing countries; China led with a growth in consumption of circa 5% last year. Despite the large surplus in stocks, world sugar prices have not shown a clear direction. While the trend over the past year has been downward, future markets show an erratic trend.

Sugarcane and sugarbeet are no longer just sugar crops, but are increasingly seen as energy crops. With global ethanol and biofuels production forecast to expand by 30% in 2007, cane and beet will be the key feedstocks. Onsite power production through bagasse co-generation is currently undergoing a re-surgence too, with the realization that its potential has yet to be fully exploited in the sugar industry. Further, advances in process conversion technologies are informing the installation of biorefinery alongside a mill to produce high value co-products from by-products of sugar processing. The dynamics of the sugar industry are changing irrevocably.

At current world sugar prices, the price of ethanol in Brazil makes production of ethanol more profitable than that of sugar, thanks to the growth of flexi-fuel cars which are now 10% of the entire Brazilian fleet of cars, but significantly higher proportion of the new cars in Brazil. It is expected that the production of ethanol in Brazil, from cane will increase by 25% this year.

The changing dynamics of markets, in particular the increasing importance of cane as a feedstock for fuel ethanol is likely to reverse the downward price spiral of sugar. The premium of ethanol over sugar in Brazil is likely to reduce the production of sugar in favour of ethanol. That prices of sugar are tottering towards production costs will be a disincentive for further cane-field expansion in the key producing areas, which, coupled with a sharp expected decline in EU production should see price stabilize and stronger markets in 2008 and beyond.

Africa and COMESA

Production of sugar in Africa has stayed fairly stable at about 10 million mt. per annum. Sugar consumption in Africa has equally remained stable at about 15 million mt. African and COMESA countries are net importers of sugar. The largest African sugar-consuming countries, in order of importance in 2006 are (in '000 mt): Egypt at 2,725; South Africa 1,590; Nigeria 1,428; Algeria 1,300; Morocco 1,168; Sudan 1,050; and Kenya 766.

Many African sugar producers have plans for expansion in the short term including Kenya, Sudan and Ethiopia. In the medium term and foreseeable future, therefore, Africa and COMESA will continue to be deficit production hence net importer to meet domestic consumption demand areas for sugar.

The Impact of ACP-EU Quota Review on the Kenyan Sugar Sector.

The EU has embarked on a programme to withdraw subsidies to their farmers while at the same time reducing the floor prices for sugar from the ACP countries under the EBA preferential prices for sugar. This will affect mainly Mauritius who sold



Branded sugar being packed in the warehouse ready for the market.

Management's Discussion & Analysis of Financial Condition & Results of Operations

most of their sugar to EU under this protocol. Mauritian sugar is, however, all raw sugar and is rather high cost. It poses no serious threat to Kenyan sugar.

Impact of COMESA Safeguard Measures on Kenya's Ability to Compete.

Kenya is signatory to the COMESA treaty that promotes free trade among partner states which include Egypt, Sudan, Swaziland, Malawi, Mauritius, Zambia and Zimbabwe. Sugar is one of the trade commodities for free trade, but currently enjoys some protection upto March 2008 under what is known as safeguard measures. The Kenya Government has requested for a further extension of another 4 years which appears will be granted at the COMESA Council of Ministers meeting in November 2007.

The Kenyan sugar industry is relatively high cost compared to the other countries in the neighbouring countries. The main reason for the higher costs is the industry's reliance on small holder production which is 100% rain-fed. The reliance on smallholders rather than estates as is in the other countries results in higher costs because of greater variability in input use and field preparation, less timely and consistent crop care and higher harvesting and transport costs associated with many small growers. All Kenya's sugar factories are situated in high altitude Western Kenya where the cane growing cycles are 15 to 20 months per crop compared to 10 to 12 months in neighbouring countries.

As a result of the foregoing, Kenya's sugar production costs stand at US\$ 500 compared to Malawi (US\$ 200-230) Zambia (US\$ 230-260) Sudan (US\$ 250-340) Egypt (US\$250-300) and Swaziland (US\$250-300). The Kenyan production costs are nearly double those world's major sugar exporters and ex-factory prices are about 50% higher than import prices from COMESA FTA exporters.

MSC's 2006/07 Performance Sales Performance

Gross turnover was Shs 12,891,296,000 (2006-Shs 14,255,499,000) which is 9.6% below that achieved last year. The domestic selling prices were maintained at reasonable levels for most of the year. The domestic retail selling prices of Mumias Sugar and that of imported sugar from COMESA are at comparable levels.



Field staff carry out an in-field cane survey at Lureko.

The brand equity was exploited satisfactorily as reflected in the premium pricing the company enjoyed from branded sugar.

We shall continue to further brand equity initiatives in the face of competition from local manufacturers who all launched their version of branded sugar. The company will continue to implement strategies that will ensure market leadership in terms of brand equity.

Plans are at an advanced stage to revolutionise our packaging in line with world trends and environmental concerns. In the area of strengthening the brand the company will focus on a wide range of activities targeting our various key consumers and decision makers.

MSC has continued to be the market leader in distribution. The company's national network of over 80 distributors has ensured that products are readily available throughout the country. This competitive advantage will be maintained through implementation of far reaching improvements in the area of distribution and territory management.

Over the past financial year, MSC made forays into neighbouring countries. The company sold decent quantities of sugar in Uganda, Rwanda, Congo and Southern Sudan. The company will continue to grow these markets and strategies are in place to achieve this. The company will continue to offer leadership in sugar industry in the region by establishing useful partnerships with other regional players.

Factory Operations

It was a difficult year for production operations. Quality of cane had a significant impact on our production, as did downtime in the second quarter of the year.

In the previous year we set an all time record in crushing 2,450,548 tons of sugar cane. In the year just ended, we came down to 2,118,563 tons. This was lower than the budget which was 2,436,530 tons of cane.

The company started the year with good recoveries and time efficiencies. But, in the month of September, we experienced a massive breakdown on a major gearbox at the diffuser plant that was eventually successfully rectified after the first week of November.

There was a complete reversal in our fortunes in the second half of the year, when the factory had very steady runs. Resulting good time efficiencies led to a tremendous improvement in sugar production, a trend that was maintained month on month for the rest of the year.

The project on Process Expansion and Modernisation Project, which cost over Shs 600 million was completed at the close of the year and is in use. Benefits expected like increased throughput and improved recoveries are already being realized.



Zonal Manager, Mr. Pius Baraza (right) gives tips on good cane husbandry practices to a farm help in a field at Ekeru belonging to a leading cane farmer, Mr. Ernest Sagala.



A DC6 Caterpillar grading feeder roads to ease transportation of farm produce.

Agricultural Operations

A total of 129,649 tons cane were delivered from the Nucleus Estate while 1,988,914 were delivered from the out growers. Harvesting operations were affected by the 10 day stoppage due to industrial relations problems by cane harvesters. Cane transporters also had several unprogrammed stoppages due to industrial relation problems which led to a total of 21 days lost time during the financial year.

Farmers are now being routinely paid with the introduction of Agricultural Management System (AMS) in November 2006. Other benefits realised from the AMS include better data and information assembly for agricultural planning.

In 2006/07 a total of 12,305 ha was replanted, 805 ha more than was budgeted which will supply an added 700,000 tons of cane over a period of 18 months. Part of this was expansion of the cane area, mainly in Busia where 2,043 ha was planted.

The weather regime favoured production of a good cane crop with 2,180mm of rain which was 327mm more than the annual mean. The wet conditions however affected the mean sugar content (POL) which averaged 12.54% instead of the targeted 13.00%. While the higher rainfall favoured planting and germination on shallow soils, there were poor germination rates on most of the low land soils, due to prolonged saturation.

Block fertiliser application procedure was launched with timely fertiliser deliveries to the block operations being maintained. The new system is ensuring improved quality of fertiliser application.

Road maintenance was hindered by the wet conditions but the company maintained 2080 kms of roads which was 270 km more than budget. The company also completed the construction and commissioned Shibale-Factory access road which has greatly improved the image of the company.

The focus for Agriculture in the coming year is to grow productivity and improve yields with the target of 85tons per ha minimum. A re-plant plan is being developed based on a 6 year programme. This will facilitate the reliable production of quality seed cane and help with implementing field drainage and soil amelioration.

Supervision of covering of seed will be intensified for better crop population and consequently better crop yields.

Land preparation equipment and procedures and quality standards are being enhanced. On the nucleus estate, chemical and shallow mould-board ploughing eradication of the previous crop will precede other land preparation operations.

The agriculture field staff training is also being enhanced particularly the field and zone assistants in order for them to be more assertive in imparting productive sugar cane husbandry practices to the farmers.

The company is undertaking other policy measures for harvesting and cane transportation for better productivity. This includes windrow harvesting by cane cutters and conversion of the cane transport units to reduce crop and in field damage.

Information and Communications Technology

The company continued to drive ICT initiatives required to enable the strategic objectives. Among these were organisational, infrastructural, business systems, and business continuity initiatives. In order to strengthen the ICT organisation, some key personnel were recruited externally and internally into the department. This enabled the department to provide the much needed business technology consultancy and ICT infrastructure and services. These internal resources received targeted development aimed at improving their abilities in the changing technological landscape. The business

strategy will continue to determine the optimum organisation of ICT designed to meet strategic goals.

In the infrastructure front, a number of initiatives were successfully completed including Data Centre re-construction, Disaster Recovery Centre, Local Area Network (LAN) upgrade and extension, and critical Server Hardware and Software. The primary Data Centre and Disaster Recovery Centre construction and equipping to meet environmental standards was completed. The LAN project resulted in all office blocks, Booker Schools, and Guest House being connected to the network. Similar LAN upgrades and extensions were completed in the Nairobi office, Nairobi warehouse, and Mombasa office.

The new network environment has pushed the total number of network points available for data and voice to more than double the initial number. Design and contracting for the Wide Area Network (WAN) was completed and equipment delivery had been achieved by year close. It is expected that within the first three months of the next financial year, the WAN will be in use. Critical server hardware and software required for infrastructure and key business systems were installed, configured, and commissioned in the year.

To ensure that the user community will adequately use the installed facilities, training programmes in personal productivity tools were designed and delivered to targeted employees in need.

mySAP Enterprise Resource Planning system, Agricultural Management System (AMS), and Smartweighment System went live during the year. These are some of the strategic business technology tools the company chose to implement in order to enhance our competitive standing in the marketplace. I am happy to report that user departments of these systems are already reporting achievement of expected business benefits some of which includes improved services to farmers, suppliers, and customers. Other benefits already reported include efficiency improvements through reduced cycle times in external procurement, internal stores requisitioning, farmer inputs assembly and delivery, and cane weighment at the weighbridge.

The Smartweighment System led to "manless" cane weighbridges thereby reducing costs significantly. I expect that land preparation and cane planting processes will soon register efficiencies from cycle times, and accuracy of plot/field sizes and services/inputs. Similarly, the business planning processes using the ERP tool are starting to pick up and I



A Company maintained Maternal Child Health & Family Planning (MCH/FP) Clinic situated in Artisan Estate next to the Grocery Market that also offers Voluntary Counseling Services (VCT).

expect operating costs to be significantly driven down through efficiencies.

Human Resources Management

In its efforts to strengthen the human resource, create harmony, good industrial relations and improved staff welfare among others the company undertook a number of activities during the period under review.

Staff Establishment

The staff establishment as at 30th June 2007 stood at 1,704 permanent employees and 146 contract employees compared to 1,794 permanent and 124 contract employees as at 1st July 2006. A total of 12 management staff were recruited during the period.

Industrial Relations

Harmonious relations between Union and Management were maintained and enhanced through regular communication between the Joint Consultative Council and the Joint Industrial Council. We are happy to report that the number of discipline cases have reduced drastically. Grievances that arose in the work place were resolved amicably.

Staff Training and Development

In our efforts to raise the performance of our staff through training in order to achieve specific objectives, the company trained a total of 1320 employees in-house, locally and overseas.

In order to improve the welfare of staff, the company undertook rehabilitation and construction of houses and other physical facilities within the estates.

Corporate Activities

To sustain and enhance stakeholders' awareness on company Vision, Mission and direction, frequent communication was maintained through various communication channels including Quarterly publications for employees and farmers.

A farmers' education programme was maintained during the period. The interactive radio sessions were maintained in order for the company to get feedback on service delivery to farmers and also as a media for educating the farmers on best practice in cane husbandry.

As part of efforts to enhance customer and stakeholder relations through prompt communication and action on customer queries and complaints, a Customer Care Centre was set up outside the main administration block next to the Outgrowers Services offices. The Centre is meant to ensure acknowledgement of all queries and complaints raised in written and expedite resolution of all issues presented by farmers and other stakeholders.

Corporate Social Responsibility

As part of the company's Corporate Social Responsibility several activities were undertaken under the programme as MSC's contribution to the well being of the community in which it operates.

Support to Environment

The company won the 2007 COYA Award for Best Practice in Environmental Management for the 2nd year running due to our commitment in afforestation and environmental management initiatives including advocacy for cleaner production and climate change mitigation.

Under the Nzoia River Basin Management Initiative, the World Bank committed itself to support the Water Resource Users Associations formed along the Nzoia basin of which MSC is a member. The Bank also committed funds through its Western Kenya community driven development under Flood Mitigation Programme. Water Resources Management Authority, the lead agents of water resource users continue with the process of forming Water Resource Users Associations (WRUA) at community and institutional levels for implementation of environmental conservation activities.

The company also rolled out various afforestation activities in a bid to contribute to environment conservation. This included joint tree planting exercises with the local community especially along the River Nzoia, and collaboration with schools during the World Environment Day and the 2007 Youth Week. The company partnered with the provincial Environment, Forestry and Administration Departments and donated tree seedlings for afforestation exercises in Mumias Nabongo grounds, Shianda Markets and areas along River Nzoia. Tree seedlings donation to the farming community was also done throughout the year.

In order to promote and embrace internationally accepted health, safety and environmental practices, several clean up exercises in Shibale and Mumias markets were also sponsored and carried out in collaboration with the Town Council and the community in the area.



The new road to the factory which has street lighting for improved security.



On-going construction work of Matawa/Indangalasia Bridge. When complete, it will save farmers from Matungu, Busia and Siaya over 20 kms in transport costs.

Support to better health

As part of our Corporate Social Responsibility strategy, health was listed among the four areas that MSC would focus on as part of its social investment in the community and also as a way to better livelihoods and make a difference.

In line with the above an eye clinic was organized by MSC in collaboration with Lions Kisumu and Sabatia Eye Hospital at Mumias Sugar Sports Complex. The clinic was targeted at not only the employees but also the farming community and general public around Mumias. A total number of 1850 patients were attended to by the eye specialists.

A blood donation camp was also organized by MSC in collaboration with Moi Teaching & Referral Hospital, Eldoret. The exercise was held at the Mumias Sports Complex and involved MSC employees and their families, students from surrounding schools and the community from Mumias, Shibale and Matungu areas.

Support to Infrastructure

MSC in a bid to support the community's development and empower the youth, rolled out support to Education through improving schools infrastructure as a way to give back to the community and better the learning environment. The company also continues to support education through the four year bursary to children in the cane zone.

The company also undertook construction of a bridge at Matawa / Indangalasia across Nzoia River. The project will go a long way in reducing cane transport costs to the farmers who have previously had to haul cane through Ogalo, Ejinja,

Matungu through Mayoni to the factory. The bridge construction will also go a long way in opening up the area for economic growth. The project is partially funded by Kenya Sugar Board through the Sugar Development Fund.

Future Outlook and Strategy

Securing the future

Two years ago, the company developed a Capacity Expansion and Product Diversification Programme to which Cogeneration was core. Major packages for the new plant have already been ordered and completion is October 2008. Come November the same year, the company will have increased its generation capacity to 38 Megawatts of Power, of which 25 Megawatts will be available for export to the National Grid. This will be an additional revenue stream and will contribute to reducing the current power deficit in the country.

The company is also looking out for expansion through acquisitions of new green fields and existing sugar mills in order to add shareholder value. The company has entered into a joint venture with Tana River Development Authority for a bankable feasibility study for the development of a sugar factory to crush 6,000 tonnes of cane per day. The venture is expected to include a 45MW cogeneration plant and a 24 Million litre ethanol plant. The feasibility study report is expected before end of the year.

MSC's Short term Competitive Strategies

Kenya's, and indeed MSC's, competitiveness in the short term depends on;

- Reduction of operating costs and waste elimination

- Improvement of cane yields through better cane husbandry
- Innovative marketing approaches and value addition through decommodification of sugar
- Cost-dilution via diversification into co-generation and ethanol
- Strategic partnerships with the Southern Africa COMESA producers of Swaziland, Malawi, Zambia and Zimbabwe.

Long-term Competitive Strategies

In the long term the institutional structure of the industry will have to shift to the more acceptable lowland, irrigated, plantation model of sugarcane production therefore:

- Expansion into new Greenfield operations like the TARDA Project.
- Consolidation of the currently dispersed small sugar mills via acquisition and amalgamation.
- An integrated approach to the industry with the mills kicking off and integrated sugar and energy generation firms
- Government policy conducive to support sugar cane, ethanol and power sub-sectors.

Conclusion

On behalf of the management team at Mumias, I wish to thank the Board for its untiring guidance and direction. I also wish to express my appreciation to the entire staff for their dedication and hard work, our loyal farmers for their support, our customers and consumers for choosing Mumias as their brand of choice and all other stakeholders for their support.

The year ahead is challenging but I believe with the commitment demonstrated by all stakeholders we shall be able to overcome challenges and return better results.

Thank you

Dr. Evans Kidero
Managing Director

30 August 2007



Dkt. Evans Kidero

Taswira

Hali ya soko la sukari kimataifa kipindi cha mwaka wa 2006/2007 iliweka rekodi ya metriki tani milioni 163 kutoka metriki tani 149 mwaka uliotangulia. Mbali na kutumia metriki tani milioni 155, kulikuwa na ziada ya metriki tani milioni 8 zinazo angaziwa. Swala hili limesababisha kushuka haraka kwa bei za kimataifa za sukari ambayo haijasafishwa kwa miaka 25 kutoka USD 500 kwa kila Metriki tani mapema mwaka 2006 hadi bei ya sasa ya karibu USD 280 ambayo ni chini ya kiwango cha gharama za uzalishaji. Kupanda haraka kwa gharama za uzalishaji kulitokana na kupanuliwa kwa maeneo ya upanzi wa miwa, kuongezwa kwa eneo la utengenezaji na hali ya kuvutia ya anga maeneo mengi kunamokuzwa miwa.

Kiwango cha matumizi ya sukari ulimwenguni kimepanda kwa asilimia 2 kila mwaka ikilinganishwa na mwongo uliopo. Ongezeko hili limeshuhudiwa zaidi katika mataifa yanayokua huku taifa la China likiongoza kwa asilimia 5 mwaka jana. Hata ingawa kulikuwa na ongezeko

la sukari iliyohifadhiwa, bei za kimataifa hazijatoa mwelekeo unaofaa. Huku hali ikionyesha kushuka mwaka jana, hali ya masoko siku za usoni inaonyesha mwelekeo wa kupanda kwa haraka.

Zao la muwa na kiasi sukari sasa sio mazao ya kawaida tena bali ni mazao yanayoambatanishwa mno na uzalishaji wa kawi. Huku ulazalishaji wa nguvu za umeme kutokana na madini ukitarajiwa kuimarika kwa asilimia 30 mwaka huu, miwa na kiasi sukari ni mazao yatakayokuwa na umuhimu mkubwa kwa uzalishaji wa kawi.

Uzalishaji kawi kupitia mabaki unafanyiwa mabadiliko pia kwa kufahamu kwamba umuhimu wake utahitaji kutumika ipasavyo katika biashara ya zao la muwa. Zaidi ya hayo, hatua za kiteknolojia zinapelekea kuwekwa mtambo wa kusafisha sukari kando ya kiwanda ili kuzalisha nguvu za umeme pia. Kwa ujumla wa mambo taratibu zote kuhusu biashara ya sukari zimeanza kubadilika kwa kiwango kikubwa.

Kwa mujibu wa bei za sukari za kimataifa kwa sasa, bei ya ethanol nchini Brazil imepelekea gharama za

uzalishaji wake kuwa na faida zaidi kushinda sukari kutokana na magari yanayotumia umeme ambayo kwa sasa yanawakilisha asilimia 10 miongoni mwa magari nchini humo lakini kukawa na magari mengi mapya. Inatarajiwa kwamba uzalishaji wa ethanol nchini Brazil kutokana na miwa utapanda kwa asilimia 25 mwaka huu.

Mabadiliko ya elimu mwendu katika masoko na hasa umuhimu wa mua kwa uzalishaji wa ethanol huenda yakabili kushuka kwa bei ya sukari. Thamani ya ethanol ikilinganishwa na sukari nchini Brazil huenda kupunguza uzalishaji wa miwa kwa kupendelea ethanol. Kwamba, bei za sukari zinayumbayumba kwa kutegemea gharama za uzalishaji zitakatisha tamaa upanuzi wa maeneo muhimu ya uzalishaji ambayo yakilinganishwa na kushuka haraka kwa uzalishaji katika Umoja wa Ulaya yatapelekea kuimarika kwa bei na masoko thabiti mwaka 2008 na baadaye.

Afrika na Comesa

Uzalishaji wa sukari barani Afrika umekuwa thabiti kwa metriki tani milioni 10 kila mwaka. Matumizi ya sukari barani Afrika yamekuwa imara kwa karibu metriki milioni 15. Afrika na mataifa ya COMESA ni waagizaji wakuu wa sukari. Mataifa makuu yanayotumia sukari nyingi mwaka 2006 (kwa metriki tani 000) Misri 2, 725, Afrika Kusini 1, 590, Nigeria 1, 428, Algeria 1, 300 Morocco 1, 168, Sudan 1, 050 na Kenya 766.

Mataifa mengi yanayozalisha sukari yana mipango ya kufanya upanuzi wa muda mfupi. Mataifa hayo ni Kenya, Sudan na Ethiopia. Kwa mtazamo wa kadri siku za usoni, mataifa ya Afrika na COMESA yatazidi kuwa na upungufu wa uzalishaji hivyo kuagizia kutoka nje kukidhi mahitaji ya nyumbani.

Hatua za Kutathmini Mfumo wa "Acp-Eu Quota" Katika Sekta ya Sukari Nchini

Muungano wa Ulaya umerejelea mpango wa kuondoa usaidizi kwa wakulima na wakati huo kupunguza bei za sukari kutoka mataifa ya ACP chini ya mkataba wa masharti nafuu wa EBA. Hali hii itaathiri zaidi taifa la Mauritania ambalo liliuza sehemu kubwa ya sukari yake kwa Muungano wa Ulaya chini ya mkataba huu. Hata hivyo, sukari yote kutoka taifa la Mauritania haijasagwa na hivyo haitoi tisho lolote kwa taifa la Kenya.

Hatua za Comesa Kujikinga Zinavyotatiza Uwezo wa Kenya Katika Ushindani

Kenya ni mojawapo wa mataifa yaliyotia sahihi mkataba wa COMESA unaounga mkono biashara huria miongoni mwa mataifa washiriki ambayo ni Misri, Sudan, Swaziland, Malawi, Mauritius, Zambia na Zimbabwe. Sukari ni mojawapo wa bidhaa zilizojumishwa katika soko huria lakini kwa sasa inafurahia ulinzi hadi Machi 2008 katika hatua inayojulikana kama hatua za kujikinga. Taifa la Kenya limetuma ombi la kuongezwa muda wa miaka mingine 4 ombi ambalo linaonekana kukubalika wakati wa mkutano wa Baraza la mawaziri wa COMESA utakaofanyika mwezi Novemba, 2007.

Biashara ya sukari nchini Kenya ni ghali ikilinganishwa na mataifa jirani. Sababu maalumu ya kupanda kwa gharama zake ni kutokana na utegemeaji wa uzalishaji wa viwango vidogo ambavyo hutegemea mvua kwa asilimia 100. Tabia ya kutegemea ukuzaji kwa viwango vidogo badala ya mashamba makubwa kama ilivyo katika mataifa mengine kumepelekea kuwepo kwa gharama kubwa zinazotokana na matumizi ya pembejeo na kutayarisha mashamba, utuzaji wa mimea kila wakati, uvunaji na gharama za usafirishaji miongoni mwa wakulima wadogo. Viwanda vyote nchini Kenya viko katika maeneo ya juu ya Magharibi mwa Kenya ambapo ukuzaji wake huchukua baina ya miezi 15 hadi 20 kwa kila mmea ikilinganishwa na miezi 10 na 12 katika mataifa jirani.

Kutokana na hali hii, gharama za uzalishaji sukari nchini Kenya zinagharimu Dola 500 ikilinganishwa na Malawi (Dola 200-230), Zambia (Dola 230-260), Sudan (Dola 250- 340), Misri (Dola 250- 300) na Swaziland (Dola 250-300). Gharama za uzalishaji nchini Kenya ni kama maradufu ikilinganishwa na mataifa yanayoongoza kwa uuzaji nje huku bei za nje ya kiwanda zikiwa asilimia 50 juu kuliko bei za uagizaji katika mataifa kuzaji ya COMESA FTA.

Matokeo ya MSC Mwaka 2006/07 Matokeo ya Mauzo

Mapato kwa jumla yalikuwa Kshs. 12, 864, 962,000 (2005 – Kshs. 14, 316, 059,000) kiwango ambacho kilikuwa chini kwa asilimia 10.1 ikilinganishwa na mapato ya mwaka jana. Bei za humu nchini zilithibitiwa kwa viwango nafuu kipindi chote cha mwaka. Bei za reja reja za sukari ya Mumias



The modern process house overlooking the proposed site for the Cogeneration Project.

ikilinganishwa na ile kutoka mataifa ya COMESA zinaweza kulinganishwa.

Alama ya ubora ilitumiwa kikamilifu kama ilivyodhihirishwa kupitia thamani ya bei ambayo kampuni ilifaidi kutokana nayo.

Tutazidi kuvumbua mbinu za alama ya ubora kukabiliana na ushindani wa watengenezaji wa humu nchini ambao walizindua alama ya sukari yao. Kampuni itazidi kuzindua mikakati itakayohakikisha kwamba tunaongoza katika alama ya ubora.

Mipango imo katika hatua muhimu kubadili mbinu za upakiaji kuwa sambamba na za kimataifa na wakati huo kuafikiana na maswala ya kimazingira. Kwa kuimarisha alama yetu, kampuni itaangazia shughuli mbali mbali kulenga wateja wetu muhimu na wanaotoa maamuzi.

MSC imekuwa ikiongoza katika usambazaji. Mtandao wa kampuni wa zaidi ya wasambazaji 80 umehakikisha kwamba bidhaa hii inapatikana kote nchini. Manufaa haya yatadumishwa kupitia kuimarishwa katika maeneo ya usambazaji na usimamizi wa kimaeneo.

Mda wa miaka iliyopita, MSC ilivamia mataifa jirani. Kampuni iliua sukari yake Uganda, Rwanda, Congo na Sudan ya Kusini. Kampuni itazidi kuimarisha masoko na mkakati. Kampuni itazidi kuwa kiongozi katika biashara ya sukari kanda hii kwa kuzindua ushirikiano mwafaka na washirika wengine.

Shughuli za Kiwanda

Huu ulikuwa mwaka mgumu kwa shughuli za uzalishaji. Thamani ya miwa ilikuwa na athari

katika uzalishaji bidhaa kipindi cha pili cha muhula wa mwaka. Mwaka uliotangulia, tuliweka rekodi ya kusaga tani 2, 450, 548 za miwa. Mwaka uliomalizika hivi majuzi, tulishuka na kusaga tani 2, 078, 840 za miwa. Kiwango hiki kilikuwa chini ya bajeti ambayo iliyokadiriwa ya tani 2, 436, 530 za miwa.

Kampuni ilianza mwaka vyema kwa kupata mafanikio mema na kuzingatia muda. Lakini kufikia mwezi Septemba, tulishuhudia uharibifu mkubwa wa giaboksi kuu iliyoko katika mtambo wa kuchanganya ambayo hatimae iliweza kurekebisha kikamilifu juma la kwanza la mwezi Novemba.

Pia kulikuwa na mabadiliko ya matokeo kipindi cha mwaka wakati kiwanda kilipoimarisha shughuli zake. Hali hii ilipelekea kuthibitiwa vyema kwa muda na kusababisha kuongezeka kwa uzalishaji wa bidhaa ya sukari jambo ambalo lilithibitiwa mwezi baada ya mwezi kipindi chote cha mwaka. Mradi wa upanuzi uliogharimu zaidi ya shilingi milioni 600 ulikamilika mwishoni mwa mwaka. Manufaa ambayo yamepatikana ni kuongezeka kwa uzalishaji ambao tayari umeshuhudiwa.

Shughuli za Kilimo

Jumla ya tani 129, 649 za miwa ziliwasilishwa kutoka mashamba ya Nucleus huku tani nyingine 1, 988, 914 zikipatikana kutoka wakulima wa mashamba yanayozunguka kiwanda. Shughuli za mavuno ya miwa zilikatizwa kwa muda wa siku 10 kutokana na mizozo ya kiviwanda iliyosababishwa na wakataji miwa. Wachukuzi wa miwa pia walisababisha mgomo wa kiviwanda na kupelekea shughuli kukwama kwa jumla ya siku 21 kipindi hiki cha mwaka.

Kwa sasa, wakulima wamekuwa wakipokea malipo yao baada ya kuzinduliwa kwa mfumo wa usimamizi wa kilimo (Agricultural Management System- AMS) mwezi Novemba mwaka 2006. Manufaa mengine yaliyopatikana kutokana na mfumo wa AMS ni pamoja na uhifadhi bora wa rekodi kwa mipango ya kilimo.

Katika kipindi cha mwaka 2006/07 jumla ya hekta 12305 zilipandwa upya hii ikiwa ni zaidi ya hekta 805 ikilinganishwa na bajeti. Nyongeza hii itasambaza tani 700,000 za miwa kipindi cha miezi 18. Sehemu moja ya maeneo yaliyofanyiwa upanuzi ni Busia ambapo hekta 2043 zilipandwa.

Hali ya anga ilifaa sana uzalishaji wa mazao bora huku kukiwa na kiwango cha milimita 2180.3 ambacho kilikuwa milimita 327 zaidi ya kiwango cha wastani cha mwaka. Hata hivyo, hali ya unyevu iliathiri kiwango cha wastani cha madini ya POL ambacho wastani wake ulikuwa asilimia 12.54 badala ya asilimia 13.00 iliyolengwa. Huku mvua nyingi kifaa upanzi na uchipukaji wa mimea, kulikuwa na viwango vibaya vya uchipukaji huo maeneo emngi ya chini kutokana na muda mrefu wa kulowa.

Kulianzishwa mfumo wa utumiaji mbolea kwa jumla huku utoaji wake ukizinduliwa na kudumishwa. Shughuli za ukarabati barabara zilikwamishwa na hali ya unyevunyevu lakini kampuni ilishughulikia kilomita 2080 ambazo zilikuwa 270 zaidi ya bajeti. Kampuni ilikamilisha ujenzi na uzinduzi wa barabara ya Shibale- Factory ambayo imeimarisha sura ya kiwanda.

Mtazamo wa kilimo mwaka ujao ni kupanua uzalishaji na kuimarisha mazao kwa kulenga kupata tani 85 kwa kila hekta. Upanzi mpya umepangiwa muda wa miaka sita. Upanzi huu utatoa hakikisho la uzalishaji wa miwa ya hali ya juu na kusaidia kuthibiti mtiririsho wa maji mashambani na kuboresha hali ya mchanga.

Utafiti wa maeneo yatayotumika kwa miche utaimarishwa ili kuwa na idadi bora ya mazao na hatimaye mavuno mengi.

Makadirio ya fedha zinazopasa kutumika kila mara yatakuwa yakifanywa kwa ajili ya kuondoa mfumo wa zamani wa upandaji wa miwa kupitia utoaji wa aina mpya ya mbegu kwa ajili ya kupata zao bora zaidi la miwa.

Utoaji wa vifaa vya kutayarisha mashamba na mifumo bora ya tendakazi unahimizwa. Katika mashamba ya Nucleus, mbinu za matumizi ya kemikali na "shallow-mould" zitatumika wakati wa uondoaji mimea ya zamani na kuongoza shughuli nyingine zote za utayarishaji mashamba.

Utoaji wa mafunzo kwa maafisa nyanjani unasisitizwa hasa kwa wasaidizi ili kuwawezesha kuwa na ufahamu zaidi kuhusu mbinu bora za upanzi wa miwa.

Kampuni inatekeleza hatua nyingine za mavuno na usafirishaji wa miwa kwa uzalishaji bora. Hii inahusu mfumo wa uvunaji miwa unaotekelezwa na wakataji kwa minajili ya kuhakikisha zao haliharibiki shambani kupitia udhibiti wa usafirishaji.

Teknolojia ya Habari na Mawasiliano

Kampuni ilizidi kutekeleza uvumbuzi wa teknolojia ya habari na mawasiliano inayohitajika kutekeleza dhamira ya mkakati. Miongoni mwa mikakati hii ilikuwa, mpangilio, miundo msingi, mifumo ya biashara na uvumbuzi wa mbinu za kuendeleza biashara. Ili kuimarisha teknolojia ya habari na mawasiliano, wataalamu waliajiriwa nje na ndani ya idara na kuiwezesha kutoa ushauri wa kibiashara uliohitajika. Raslimali hii ya ndani iliafikia maendeleo yaliyoniwa kuimarisha uwezo wao kuhusiana na mabadiliko ya teknolojia. Mkakati wa kibiashara utazidi kuamua mpangilio wa teknolojia ya habari na mawasiliano unaoniwa kuafikia malengo ya shabaha yake.

Kwa upande wa miundo msingi, baadhi ya vumbuzi zilifaulu kukamilishwa ikiwemo ujenzi wa kituo cha ukusanyaji maelezo, kituo cha kukabiliana na majanga, upanuzi na uimarishaji wa mtambo wa mawasiliano ya ndani (LAN) na vifaa muhimu vya mitambo ya kompyuta. Ujenzi wa awali wa vituo vya ukusanyaji habari na maelezo na kituo cha kukabiliana na majanga kuafikiana na viwango vya kimazingira ulikamilika. Mtandao wa mawasiliano ya ndani ulisambazwa ofisi zote, shule za Booker na chumba cha wageni. Shughuli kama hii ilitekelezwa na kukamilika katika ofisi ya Nairobi, bohari la Nairobi na Ofisi ya Mombasa.

Mazingira mapya ya mtandao yamesababisha idadi ya vituo vyake vilivyoko kwa ukusanyaji maelezo kuwa maradufu. Usanifu na utoaji kandarasi kwa mtandao unaochukua mahali pana (WAN) ulikamilika na vifaa kuwekwa kupokelewa kufikia mwisho wa mwaka. Inatarajiwa kwamba, baina ya miezi mitatu ya kwanza ya kipindi kijacho cha matumizi ya pesa, mtambo huu utakuwa ukitumika. Vifaa na mitambo muhimu inayohitajika kwa muundo huu msingi viliwekwa, kupangwa na kuzinduliwa mwaka huo.

Ili kuhakikisha kwamba watumizi watatumia ipasavyo vifaa vilivyowekwa, vifaa vya mipango ya utoaji mafunzo vilifanyiwa usanifu na kutolewa kwa maafisa waliokuwa na haja.

Mifumo ya MySAP Enterprise Planning, usimamizi wa kilimo (AMS) na Smartweighment ilizinduliwa mwaka huu. Hivi ni baadhi ya vifaa vya mikakati ya teknolojia ya habari na mawasiliano kampuni ilichagua kuzindua kuimarisha uwezo wake wa ushindani katika masoko. Nina furaha



Field staff weigh some of the cane to establish the yield at the field level during and immediately after harvest.



Mumias Sugar Company directional signs along the Kakamega/Mumias/Bungoma Road.

kuwatangazia kwamba idara zinazotumia mfumo huu tayari zimeripoti mafanikio ya kibiashara yaliyotarajiwa mojawapo ikiwa utoaji huduma kwa wakulima, wagawaji na wateja. Manufaa mengine yaliyoripotiwa tayari ni pamoja na kuimarika kwa uwajibikaji kupitia kupunguzwa kwa muda wa uwakala wa ndani, uagizaji bidhaa kutoka maghala ya ndani, ukusanyaji na uwasilishaji wa pembejeo kwa wakulima na upimaji wa miwa katika kituo kuchukua mizani.

Mfumo wa Smartweighment ulipunguza gharama. Nataraji utayarishaji wa mashamba na upanzi wa miwa utaimarika kuhusiana na ukubwa halisi ya ploti/shamba, huduma na pembejeo. Sawia, hatua za kufanya mipango kwa kutumia ERP kimeanza kuimarika na natumai kwamba gharama zitashuka kupitia utendaji wa haraka.

Usimamizi wa Wafanyakazi

Katika juhudi zake za kuimarisha idara ya wafanyakazi, kuleta mwafaka, uhusiano bora wa kibiashara, maslahi bora ya wafanyakazi miongoni mwa mengine, kampuni ilitekeleza baadhi ya shughuli wakati wa kipindi hiki cha mwaka tunaoangazia.

Uajiri wa Maafisa

Kufikia Juni 30, 2007, idadi ya wafanyakazi ilikuwa 1704 (maafisa wa kudumu) na 146 (maafisa walioajiriwa kupitia kandarasi) ikilinganishwa na maafisa 1974 wa kudumu na 124 wa kandarasi kufikia Julai mosi 2006. Maafisa wasimamizi 12 walijajiriwa kazi wakati wa kipindi hiki.

Uhusiano wa Kibiashara

Uhusiano baina ya Chama na wasimamizi ulithibitiwa na kuimarishwa kupitia mawasiliano ya

mara kwa mara baina ya Baraza la ushauri na lile la kibiashara. Tuna furaha kutangaza kwamba, visa vya utovu wa nidhamu vimepungua mara moja. Mizozo iliyozuka kazini ilisuluhishwa vyema.

Idara ya Utoaji Mafunzo na Maendeleo Kwa Maafisa

Katika juhudi zetu za kuimarisha matokeo ya maafisa wetu kupitia utoaji mafunzo ili kaufikia malengo yaliyokusudiwa, kampuni ilitoa mafunzo kwa maafisa 1320 kazini, nchini na nje. Ili kuimarisha maslahi ya maafisa wetu, kampuni ilitekeleza zoezi la kukarabati na kujenga nyumba na maeneo mengine ndani ya mtaa.

Shughuli za Kimashirika

Ili kudumisha na kuwamasishia washika-dau ufahamu kuhusu ndoto, wajibu na mwelekeo wa kampuni, mawasiliano ya mara kwa mara yaliimarishwa kupitia mbinu za mawaliano ikiwemo kuchapisha jarida la miezi minne la wafanyakazi na wakulima.

Mpango wa utaoji mafunzo kwa wakulima ulidumishwa wakati wa kipindi hiki. Mahojiano kupitia redio yalidumishwa kuiwezesha kampuni kupokea majibu kuhusiana na utaoji huduma kwa wakulima na pia kama chombo cha habari kuwaelimisha wakulima kuhusu mbinu zinazofaa za kilimo.

Kama sehemu moja ya kuhamasisha ushirikiano baina ya wateja na washika-dau kupitia mawasiliano ya kila mara na uchukuaji wa hatua kuhusiana na malalamiko, kituo cha kuwashughulikia wateja kilizinduliwa nje ya jumba la usimamizi mkabala na ofisi za Outgrowers. Kituo hiki kitakuwa hakikisho la kupokea malalamiko yote yaliyopokelewa kwa

njia ya kuandika na kuharakisha kutolewa kwa suluhisho kuhusiana na maswala yote yaliyoulizwa na wakulima na washika-dau wengine.

Wajibu Katika Jamii

Kama sehemu ya wajibu wake katika jamii, shughuli mbali mbali zilitekelezwa chini ya mpango wa MSC wa kutoa mchango kuimarisha maslahi ya jamii inakohudumu.

Kukuza Mazingira

Kampuni ilitwaa tuzo la COYA la mwaka wa 2007 kwa mara ya pili mfululizo kutokana na usimamizi bora wa mazingira na kuwajibika upanzi wa miti na mifumo bora ya usimamizi wa mazingira ikiwemo uhamasishaji kuhusu uzalishaji safi na mambo yanayosababisha mabadiliko ya hali ya anga. Chini ya mfumo wa Nzoia River Basin Initiative, Benki ya dunia ilijitolea kusaidia mradi wa Water Resource Users Association ulioundwa katika ukanda wa mto Nzoia ambapo MSC ni mwanachama. Benki hii iliahidi kutoa mchango wake kupitia maendeleo yake kwa jamii ya wakazi wa eneo la magharibi chini ya mradi wa Flood Mitigation project. Halmashauri inayosimamia rasimili za maji ambayo ni wakala kwa watumiaji bidhaa hii inaendeleza hatua za kubuni mwungano wa Water Resource Users Association (WRUA) ngazi za kijamii na kitaifa katika utazaji mazingira.

Kampuni ilizindua shughuli mbali mbali za upanzi miti kama hatua ya kulinda mazingira. Hii ilihusisha zoezi la pamoja la upanzi wa miti kando mwa mto Nzoia na kushirikiana na jamii na shule na pia wakati wa siku kuu ya mazingira mwaka 2007 na wiki ya vijana. Kampuni ilishirikiana pamoja na wasimamizi wa mazingira mkoani, idara ya misitu na kutoa mchango wake wa miche kwa zoezi la upanzi miti uwanja wa Nabongo Mumia, masoko ya Shianda na sehemu zilizo kando mwa mto Nzoia. Mchango wa miche kwa jamii za wakulima ulitolewa kipindi chote cha mwaka.

Ili kuunga mkono viwango vilivyokubalika kimataifa vya afya, usalama na mazingira, kampuni ilifadhili shughuli za usafi masoko ya Shibale na Mumias kwa ushirikiano na Baraza la Mji na jamii zinazoishi hapo.

Kuboresha Afya

Kama sehemu ya mkakati wetu kuwajibika jamii, swala la afya lilizingatiwa chini ya maeneo nne



Shibale Market which is the gate-way to Mumias Sugar Company has been lit up with street lights provided by the Company.

ambayo MSC ingeangazia kuwekeza katika rasimali za kijamii na pia kama njia bora ya kuimarisha hali ya maisha na kuleta mabadiliko. Kufungamana na swala hili, kampuni ikishirikiana na Lions Kisumu na Sabatia Eye Hospital iliandaa kliniki ya macho uwanja wa Mumias Sports Complex. Kliniki hii haikulenga tu wafanyakazi wa kampuni, bali pia jamii ya wakulima na umma unaoishi karibu na Mumias. Jumla ya wagonjwa 1850 wa macho walipokea matibabu yaliyotolewa na wataalamu wa macho.

Kampi ya kupokea mchango wa damu iliandaliwa na MSC ikishirikiana na hospitali kuu ya Moi Referral Eldoret. Zoezi hili lilifanyika katika uwanja wa michezo wa Mumias Complex na lilihusisha wafanyakazi wa MSC na familia zao, wanafunzi wa shule za karibu na jamii kutoka Mumias, Shibale na Matungu.

Kuimarisha Muundo-Msingi

Kama wajibu wake wa kusaidia maendeleo ya jamii na kuwapa nguvu vijana, MSC ilianzisha msaada wa masomo kupitia utoaji wa vifaa kwa shule kama hatua moja ya kurudisha shukrani kwa jamii na kuimarisha mazingira ya masomo. Kampuni inazidi kutoa mchango wa karo wa miaka minne kwa wanafunzi wanaotoka kanda inayokuzwa miwa. Kampuni ilitwaa jukumu la ujenzi wa daraja la Matawa/Indangalasia linalopitia mto Nzoia. Mradi huu utakumbukwa daima kwa kuwapunguzia wakulima gharama za usafirishaji kwani hapo mbeleni walikuwa wakisafirisha miwa kupitia Ogallo, Ejinja, Matungu kupitia Mayoni hadi kiwandani. Ujenzi wa daraja hili utafanikisha ukuaji wa uchumi eneo hili. Mradi huu unapokea sehemu ya ufadhili wake kutoka Halmashauri ya Sukari kupitia hazina ya maendeleo ya kilimo cha miwa.

Mikakati na Mitazamo ya Siku za Usoni

Kujiandaa Kwa Siku za Usoni

Ni katika kipindi cha miaka miwili iliyopita, ambapo kampuni ilipounda mpango wa upanuzi na mabadiliko ya utoaji wa huduma ambapo iliamuliwa kwamba utoaji wa bidhaa za kawi ni muhimu sana. Vifaa vingi vya kiwanda kipya vimeagizwa na kumalizika kwake kwatarajiwa kuwa Oktoba, 2008. Ifikiapo mwezi Oktoba, 2008, kampuni itakuwa imeongeza kiwango cha uzalishaji kawi kuwa megawati 38 ambapo megawati 25 zitauziwa taifa na kuiletea kampuni mapato zaidi na kupunguza pengo la umeme nchini.

Kampuni inatathmini kufanya upanuzi kupitia ununuzi wa mashamba ya makubwa na kuimarisha viwanda vya utoaji sukari kwa ajili ya kuongeza thamani ya umilikiwa hisa. Kampuni imeingia mkataba na Halmashauri ya Tana River Development Authority kutathmini maendeleo ya kiwanda kitakachosaga tani 6,000 za miwa kwa siku. Mradi huu unatarajiwa kuhusisha kiwanda kitakachozalisha mewagati 45 za umeme na lita milioni 24 za ethanol. Ripoti kuhusu utafiti huu inatarajiwa kuwa tayari kufikia mwisho wa mwaka huu.

Mikakati ya Muda Mfupi ya Ushindani ya MSC

Mikakati ya ushindani nchini Kenya na hasa MSC inategemea:-

- Kupunguza gharama za uendeshaji na kuondoa mabaki
- Kuimarisha uzalishaji wa miwa kupitia mbinu bora za kilimo

- Kubuni mbinu bora za kukabiliana na masoko na kuongeza thamani kupitia uimarishaji wa kutoa bidhaa za sukari.
- Kupunguza gharama kupitia utoaji wa bidhaa za kawi.
- Kupitia mkakati wa ushirikiano na mataifa zalishaji ya COMESA Kusini mwa Afrika ya Swaziland, Malawi, Zambia na Zimbabwe.

Hatimaye muundo wa kitaasisi wa harakati zetu za kibiashara utakuwa umehamishwa hadi katika maeneo ya nyanda za chini yanayokubalika kwa shughuli za kilimo kupitia unyunyizaji maji, na utayarishaji wa mashamba makubwa ya miwa ya kutoa kielelezo. Na kwa hivyo:

- Kutakuwa na upanuzi hadi katika mashamba makubwa kama yale ya mradi wa TARD
- Kuimarishwa kwa viwanda vidogo vidogo vya sukari vilivyo katika maeneo mengi tofauti kupitia kununuliwa au kushirikishwa.
- Mfumo thabiti zaidi wa kuimarisha shughuli zetu huku viwanda vya miwa vikiibuka kukiwa na ushirikishaji wa mradi wa kutoa nguvu za umeme.
- Maongozi ya serikali kusaidia sekta za utoaji wa sukari na sekta ndogo za kawi.

Hitimisho

Kwa niaba ya timu ya wasimamizi ya Mumias, ningependa kushukuru Halmashauri kwa ushauri na mwongozo wake. Ningependa pia kutoa shukrani zangu kwa wafanyakazi wote kwa kujitolea kwao kufanya kazi kwa bidii, wakulima waaminifu kwa mchango wao, wateja wetu na watumiaji kwa kuchagua sukari ya Mumias kama chaguo lao la ubora na pia washika-dau wengine wote kutokana na mchango wao.

Mwaka tunaoangazia mbele una changamoto nyingi lakini nina imani kwamba kutokana na wajibu uliodhihirishwa na washika-dau wote, tutaweza kushinda changamoto hizi na kupata matokeo ya kufana.

Ahsanteni.

**Dkt. Evans Kidero,
Meneja Mkurugenzi**

Agosti 30, 2007

The Directors of Mumias Sugar Company recognize the need to conduct Business with integrity and in accordance with highest standard of governance practices. Your Board determines the Company Policy and Strategy, monitors the attainment of Business Objectives and ensures that the company meets its obligations for shareholders. The Directors are also responsible for overseeing the company's internal control systems that are designed to safeguard your assets and to ensure reliability of the financial information used within the company.

The Board of Directors

Mumias Sugar Company consists of eleven non-executive directors and the Managing Director. Most of the non-executive Directors are independent.

The full Board meets at least four times a year. The Directors have access to timely information so that they can maintain full and effective control over strategic, financial, operational and compliance issues.

The Board has delegated authority for conduct of day-to-day business to the Managing Director. The Board retains responsibility for establishing and maintaining the Company's overall internal

control over financial, operational and compliance issues and monitoring the performance of Executive Management.

The Board has adopted a charter. In terms of the Board Charter, the Board among other responsibilities:

- Determines the company's vision and mission, provides strategic direction to the company and is responsible for the approval of strategic plans and the implementation of values in support thereof.
- Approves the annual business plan and budget proposed by management
- Retains full and effective control over the company and monitors management with regard to the implementation of the approved annual budget and business plan
- Appoints the managing director, who reports to the Board and ensures that succession is planned
- Approves the company's financial statements, interim reports and preliminary reports, returns required by Market Regulators, and is responsible for the integrity and reasonable presentation thereof
- Assesses the viability of the company on a going concern basis
- Determines the company's communication policy
- Determines director selection, orientation and evaluation
- Ensures that the company has appropriate risk management, internal control and regulatory compliance procedures in place and that it communicates adequately with shareholders and stakeholders
- Defines levels of delegation in respect of specific matters, with required authority to board sub-committees and management
- Monitors non-financial aspects pertaining to the business of the company
- Considers and, if appropriate, declares the payment of dividends to shareholders
- Regularly evaluates its own performance and effectiveness.

The Board and its committees are supplied with full and timely information, which enables them



Directors at a board meeting. Standing left to right: Mr. Peter Kebati (Chief Finance Officer), Mr. Maurice Juma, Ms. Grace Ngala, Mr. Meshack Guto (Company Secretary), Dr. Caleb Wangia, Mr. Edwin Osundwa, Mr. Francis Kigen, Mr. Kungu Gatabaki, Mr. Apollo Mboya. Seated left to right: Dr. Evans Kidero (Managing Director), Mr. James Chege, Mr. John Bosse (Chairman), Mrs. Esther Koimett, Mr. Alinoor Hassan.

to discharge their responsibilities. All directors have access to the company secretary and to independent professional advice in appropriate circumstances at the company's expense. Directors' interests in other boards and contracts are regularly declared and recorded.

Board Committees

The Board has three standing committees that meet regularly under the Terms of Reference (TOR) set by the Board.

Board Human Resource & Strategy Committee (BHRSC)

The scope of BHRSC includes strategy formulation, review and intellectual capital imports into MSC. The Committee ensures that MSC is competitive in the Market place. The Managing Director (MD) is a member of the Committee, while the Company Secretary acts as secretary to the Committee.

The responsibilities of the Committee are to:

- Review with the MD the priority needs for the Board and Company;
- Assist the Board in determining the company's vision and mission, providing strategic direction to the company, approval of strategic plans and implementation of values in support thereof
- Responsible for Information Technology (IT) governance for the Board by ensuring that:
 - IT strategy is aligned to the Business
 - IT Investment delivers value to the Business
 - IT performance is measured
- IT related risks are managed
- IT resources and sourcing is effectively managed
- Evaluate the performance of the Board, sub-committees of the Board, Directors and the Chairman
- Make recommendations to the Board in respect to appointment of new directors
- Determine, approve and develop the company's general policy on remuneration as well as specific policy on executive remuneration
- Review and approve remuneration packages of executive directors including bonus incentive schemes and increments
- Appraise the performance of the Managing Director
- Review the general levels of remuneration for directors of the board as well as its committees

- Regularly review the company's code of ethics and the effectiveness of ethic management principles
- Evaluate cases of unethical behaviour of senior managers and executives of the company
- Review employment equity, skills development and succession planning.

Board Audit Committee (BAC)

The scope of this committee includes risk management, as well as compliance with the regulatory requirements. The Chief Internal Auditor is an ex-officio member while the Company Secretary is the secretary of the Committee.

The main responsibilities of the committee are to:

- Review and recommend to the board, the company's annual reports, interim and preliminary reports, as well as filing of Regulatory requirement by NSE and CMA
- Review and make recommendations to the board relating to the viability of the company as a going concern
- Recommend appointment of external auditors
- Receive the external auditors' reports
- Evaluate and approve the external auditors' plans, scope of findings and reports



Company Head Office in Mumias.



One of the wholesale and retail outlets in Mumias Town.

- Evaluate the effectiveness of the internal auditing function, including its purpose, activities, scope, adequacy and costs, and approve the annual internal audit plan
- Evaluate policies, procedures and systems introduced by management, thus ensuring that these are functioning effectively
- Review and approve the activities, scope, adequacy and effectiveness of the company's risk management and regulatory procedures
- Evaluate legal matters, which may affect the financial statements
- Establish procedures for the receipt, retention and treatment of complaints received by the company regarding accounting, internal control or auditing matters.

Board Tender Committee (BTC)

MSC is a highly capital intensive company. BTC has the responsibility of ensuring that procurement practices are aligned so as to deliver value to expenditure incurred on the agreed business strategy.

BTC is composed of at least four non-executive directors. The Managing Director and the Head of Finance are ex-officio members of the Committee. The Company Secretary acts as secretary to the Committee.



Mumias Sugar Company has put up a Mausoleum for the Kings of Wanga Kingdom who were buried at Mushiembekho in Matungu. Workers put final touches on the Mausoleum.

The deliberations on procurement as defined in the procurement manuals are normally driven to deliver value to the business by conforming to the following:

- Accountability
- Efficiency & effectiveness
- Integrity
- Fairness
- Responsibility
- Transparency

Risk Management

The Board recognises that managing risk to ensure optimal mix between risk and return is an integral part of achieving corporate goals. The Board has put in place procedures for identifying risks and

implementing risk-mitigating activities to ensure the risk of failure to achieve business objectives is reduced, if not eliminated. As key risk management initiative, the Company is putting in place a comprehensive system of setting and implementing objectives, measuring performance against objectives and implementing corrective activities to ensure that objectives are achieved.

Internal Controls

The Board has a collective responsibility for the Company's system of internal control and for reviewing its effectiveness. Executive Management have the responsibility for establishing and implementing appropriate systems and controls in the running of the Business of the Company and providing assurance to the Board that they have done so. The system of internal control in place has defined operational procedures and financial controls to ensure that assets are safeguarded, transactions are appropriately authorised and recorded properly and that material errors and irregularities are either prevented or detected within a reasonable period of time. In reviewing the effectiveness of the systems of internal control and risk management, the Board takes into account the results of the work carried out to audit and review activities of the Company. The Board has reviewed the Company's system of internal control and is satisfied that the system is effective.



Booker Academy Students at the School's ultra-modern library.

Conduct of Business

The conduct of Company's Business is being developed to be driven within a process framework underpinned by defined processes, objectives, policy statements, written procedures and control guidelines. The Company's ISO 9001:2000 Quality Management System was approved for continued certification in July 2007.

The Board has established management structures with clearly defined roles, responsibilities and reporting lines.



Company Social Worker, Mrs. Margaret Baraza Odima gives a lecture to mothers at the Company MCH/FP Clinic.

Performance Reporting

The Business performance of the Company is reported regularly to its Management and the Board. Performance trends, forecasts, as well as actual performance against budgets and prior periods are closely monitored. Financial information is prepared using appropriate accounting policies that are applied consistently. Operational procedures and controls have been established to facilitate complete, accurate and timely processing of transactions and the safeguarding of assets. These controls include, segregating of duties, the regular reconciliation of accounts and valuation of assets.

Health, Safety and Employee Welfare

The welfare of our staff, clients, contractors, suppliers and members of the public is an essential principle of the Company that strives to provide all the employees with safe working conditions at the workplace and a safe environment for our clients, contractors and members of the public.

The Company maintains the policy of equal opportunity of employment for all qualified persons and strives to provide all employees with fair equitable terms of employment.

Corporate Social Responsibility

The Company plays a vital and integral role as a good corporate citizen in the community it operates in. The Company sponsors several charities, schools, health institutions and social events by continuously providing budgetary provisions to fund these requirements.

Directors' Shareholding

The Directors' direct and indirect interest in the ordinary share capital of the Company is shown on page 8.



The Deputy Principal of Booker Academy, Mr. Charles Odera oversees a Computer Class at the School.



Two years ago, the company developed a Capacity Expansion and Product Diversification Programme to which Cogeneration was core. Major packages for the new plant have already been ordered and completion is expected by October 2008. Come November the same year, the company will have increased its generation capacity to 38 Megawatts of Power, of which 25 Megawatts will be available for export to the National Grid .This will be an additional revenue stream and will contribute to reducing the current power deficit in the country.

Report of the Directors for the year ended 30 June 2007

The directors present their report together with the audited financial statements of the company for the year ended 30 June 2007.

PRINCIPAL ACTIVITIES

The principal activities of the company remain those of cultivation of sugarcane and manufacturing of sugar as well as providing support to sugarcane out-growers.

RESULTS

	Shs'000
Profit before taxation	1,909,894
Taxation charge	<u>(516,283)</u>
Profit for the year transferred to retained earnings	<u>1,393,611</u>

DIVIDENDS

An interim dividend of Shs 0.50 per share (2006 - Shs 0.75), totalling Shs 255 million (2006 - Shs 382.5 million) was paid during the year. The directors recommend a final dividend of Shs1.00 per share totalling Shs 510 million (2006: Shs 510 million) bringing the total dividend paid and proposed to Shs 1.50 per share (2006: Shs 1.75) amounting to Shs 765 million (2006: Shs 892.5 million) in respect of the year.

PRODUCTION

The following are the comparative statistics of cane processed and sugar production for the last five years:

	Cane processed (tonnes)	Sugar production (tonnes)
2007	2,118,563	217,200
2006	2,450,548	265,819
2005	2,348,019	269,184
2004	2,290,427	264,802
2003	2,064,893	237,084

NUCLEUS ESTATE AND OUTGROWERS

The company's nucleus estate under cane, measuring approximately 3,910 (2006 - 3,695) hectares, provides an average of about 7% of the total cane processed annually.

At 30 June 2007, there were 77,200 (2006 – 65,943) registered outgrowers, with 63,705 (2006 – 53,674) hectares of land under cane.

DIRECTORS

The directors who served during the year are shown on pages 10 and 11.

In accordance with article 113, Mr Maurice Juma, Mr Alinoor Hassan, Mr Kungu Gatabaki and Ms Grace Ngala, will retire by rotation and, being eligible, offer themselves for re-election.

AUDITORS

Deloitte & Touche, having expressed their willingness, continue in office in accordance with Section 159 (2) of the Kenya Companies Act.

BY ORDER OF THE BOARD

Secretary

30 August 2007

Statement of Directors' Responsibilities

The Kenyan Companies Act requires the directors to prepare financial statements for each financial year which give a true and fair view of the state of affairs of the company as at the end of the financial year and of the operating results of the company for that year. It also requires the directors to ensure that the company keeps proper accounting records which disclose with reasonable accuracy at any time the financial position of the company. They are also responsible for safeguarding the assets of the company

The directors are responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards. This responsibility includes: designing, implementing and maintaining internal controls relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error, selecting and applying appropriate accounting policies, and making accounting estimates that are reasonable in the circumstances.

The directors accept responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgments and estimates, in conformity with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act. The directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the company and of its operating results. The directors further accept responsibility for the maintenance of accounting records which may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

Nothing has come to the attention of the directors to indicate that the company will not remain a going concern for at least the next twelve months from the date of this statement.

DIRECTOR

30 August 2007

DIRECTOR

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF MUMIAS SUGAR COMPANY LIMITED

We have audited the financial statements of Mumias Sugar Company Limited set out on pages 38 to 66 which comprise the balance sheet as at 30 June 2007, and the income statement, statement of changes in equity and cash flow statement for the year then ended, together with the summary of significant accounting policies and other explanatory notes, and have obtained all the information and explanations which, to the best of our knowledge and belief, were necessary for the purposes of our audit.

Respective responsibilities of directors and auditors

The company's directors are responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards and the provisions of the Kenyan Companies Act. This responsibility includes: designing, implementing and maintaining internal controls relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error, selecting and applying appropriate accounting policies, and making accounting estimates that are reasonable in the circumstances. Our responsibility is to express an opinion on these financial statements based on our audit.

Basis of opinion

We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance as to whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on our judgment and include an assessment of the risk of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, we considered internal controls relevant to the company's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the company's internal control system. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by directors, as well as evaluating the overall presentation of the financial statements.

We believe that our audit provides a reasonable basis for our opinion.

Opinion

In our opinion, proper books of account have been kept by the company and the financial statements, which are in agreement therewith, give a true and fair view of the state of affairs of the company at 30 June 2007 and of its profit and cash flows for the year then ended in accordance with International Financial Reporting Standards and comply with the Kenyan Companies Act.



30 August 2007

Income Statement for the Year Ended 30 June 2007

	Note	2007 Shs'000	2006 Shs'000
REVENUE	3	10,381,190	11,657,540
FAIR VALUE LOSS ON BIOLOGICAL ASSETS	16	(63,492)	(142,477)
OPERATING INCOME		10,317,698	11,515,063
COST OF SALES		(6,729,750)	(7,433,514)
GROSS PROFIT		3,587,948	4,081,549
OTHER OPERATING INCOME		83,045	143,709
MARKETING AND DISTRIBUTION COSTS		(591,060)	(727,736)
ADMINISTRATIVE EXPENSES		(710,960)	(737,411)
STAFF RATIONALISATION COSTS	4	-	(190,870)
OTHER OPERATING EXPENSES		(488,493)	(510,711)
OPERATING PROFIT	5	1,880,480	2,058,530
FINANCE INCOME - NET	7	29,414	161,359
PROFIT BEFORE TAXATION		1,909,894	2,219,889
TAXATION CHARGE	8	(516,283)	(693,274)
PROFIT FOR THE YEAR		1,393,611	1,526,615
EARNING PER SHARE - BASIC & DILUTED	9	Shs 2.73	Shs 2.94
DIVIDEND PER SHARE			
- Interim	10	Shs 0.50	Shs 0.75
- Final (proposed)	10	Shs 1.00	Shs 1.00

Balance Sheet at 30 June 2007

	Note	2007 Shs'000	2006 Shs'000
ASSETS			
Non current assets			
Property, plant and equipment	11	8,003,491	7,324,879
Intangible assets	12	123,708	4,247
Non current receivables	14	86,081	96,957
		8,213,280	7,426,083
Current assets			
Inventories	15	518,679	689,843
Biological assets	16	214,011	163,203
Taxation recoverable	8(c)	202,899	163,661
Trade and other receivables	17	2,114,403	1,414,825
Treasury bills – held to maturity	19	-	593,508
Short term deposits – held to maturity	20	-	608,141
Cash and bank balances		626,104	740,665
		3,676,096	4,373,846
Non current assets held for sale	21	27,493	71,577
Total assets		11,916,869	11,871,506
EQUITY AND LIABILITIES			
Capital and reserves			
Share capital	22	1,020,000	1,020,000
Revaluation surplus		2,065,794	2,135,554
Retained earnings		5,251,866	4,553,495
Shareholders' equity		8,337,660	7,709,049
Non current liabilities			
Deferred income tax liability	23	1,900,774	1,760,053
Provision for service gratuity	24	4,063	171,392
Deferred grant income	25	60,996	72,601
Borrowings	26	-	151,368
		1,965,833	2,155,414
Current liabilities			
Trade and other payables	27	1,125,350	1,275,440
Borrowings	26	157,807	193,707
Provision for service gratuity	24	23,837	342,785
Provision for staff leave pay	28	19,529	18,439
Dividends payable (gross)	29	286,853	176,672
		1,613,376	2,007,043
Total equity and liabilities		11,916,869	11,871,506

The financial statements on pages 38 to 66 were approved by the board of directors on 30 August 2007 and were signed on its behalf by:

John V Bosse	} Directors
James G Chege	

Statement of Changes in Equity for the Year ended 30 June 2007

	Share capital Shs '000	Revaluation surplus Shs '000	Retained earnings Shs '000	Total Shs '000
At 1 July 2005	1,020,000	1,283,438	3,776,597	6,080,035
Profit for the year	-	-	1,526,615	1,526,615
Final dividend declared - 2005	-	-	(459,000)	(459,000)
Interim dividend declared - 2006	-	-	(382,500)	(382,500)
Gain on revaluation of property, plant and equipment	-	1,348,427	-	1,348,427
Deferred tax liability arising from revaluation of property, plant and equipment	-	(404,528)	-	(404,528)
Transfer of excess depreciation	-	(131,438)	131,438	-
Deferred tax on excess depreciation	-	39,655	(39,655)	-
At 30 June 2006	1,020,000	2,135,554	4,553,495	7,709,049
At 1 July 2006	1,020,000	2,135,554	4,553,495	7,709,049
Profit for the year	-	-	1,393,611	1,393,611
Final dividend declared - 2006	-	-	(510,000)	(510,000)
Interim dividend declared - 2007	-	-	(255,000)	(255,000)
Excess depreciation transferred in prior year	-	18,694	(18,694)	-
Transfer of excess depreciation	-	(126,363)	126,369	-
Deferred tax on excess depreciation	-	28,259	(28,259)	-
At 30 June 2007	1,020,000	2,065,794	5,251,866	8,337,660

The revaluation surplus represents the net cumulative surplus arising from revaluation of property, plant and equipment net of depreciation and deferred tax. The revaluation surplus is non-distributable.

Cash Flow Statement for the Year Ended 30 June 2007

	Note	2007 Shs'000	2006 Shs'000
OPERATING ACTIVITIES			
Cash generated from operations	30(a)	1,256,988	2,833,402
Interest paid		(4,387)	(9,125)
Interest received		43,298	184,366
Finance charges paid		(5,380)	(13,477)
Taxation paid	8(c)	(414,800)	(846,910)
Net cash generated from operating activities		875,719	2,148,256
INVESTING ACTIVITIES			
Additions to property, plant and equipment		(1,412,749)	(638,420)
Additions to intangible assets		(1,620)	(5,748)
Proceeds from disposal of equipment and assets held for sale		70,938	13,253
Net cash used in investing activities		(1,343,431)	(630,915)
FINANCING ACTIVITIES			
Dividend paid	29	(654,819)	(772,847)
Loans repaid	30(b)	(150,157)	(150,000)
Loans received	30(b)	-	450,000
Net cash used in financing activities		(804,976)	(472,847)
(DECREASE)/INCREASE IN CASH AND CASH EQUIVALENTS		(1,272,688)	1,044,494
BALANCE AT BEGINNING OF THE YEAR		1,898,792	854,298
BALANCE AT END OF THE YEAR	30(c)	626,104	1,898,792

1 ACCOUNTING POLICIES

The financial statements have been prepared in accordance with International Financial Reporting Standards. The principal accounting policies adopted remain unchanged from the previous year and are as stated below:

Adoption of new and revised International Financial Reporting Standards (IFRS)

At the date of authorisation of these financial statements, the following Standards and Interpretations were in issue but not yet effective:

- IFRS 7 on Financial Instruments Disclosures
- IFRS 8 on Operating Segments
- IFRIC 8 Scope of IFRS 2
- IFRIC 9 Reassessment of Embedded Derivatives
- IFRIC 10 Interim Financial Reporting and Impairment

The adoption of these Standards and Interpretations, when effective, will have no material impact on the financial statements of the company.

Basis of preparation

The financial statements are prepared on the historical cost basis of accounting as modified to include the revaluation of certain assets.

Revenue recognition

Sale of sugar and molasses are recognised upon delivery to or collection of product by customers and are stated net of Value Added Tax, Sugar Development Levy and discounts. Sugar Development Levy does not apply to molasses sales.

Interest income is accrued on a time basis, by reference to the principal outstanding at the effective interest rate applicable.

All other income earned by the company is recognised as it accrues.

Deferred grant income

Grants related to acquisition of equipment are accounted for as deferred income recognised in the income statement on a systematic basis over the useful life of the equipment, estimated at 8 years.

Taxation

Income tax expense represents the sum of current tax payable and deferred taxation.

Current taxation is provided on the basis of the results for the year as shown in the financial statements, adjusted in accordance with the tax legislation.

Deferred income tax is provided, using the liability method, for all temporary differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes. Currently enacted tax rates are used to determine deferred income tax.

1 ACCOUNTING POLICIES (Continued)

Property, plant and equipment

Property, plant and equipment are stated at cost or at professionally revalued amounts less accumulated depreciation and any accumulated impairment losses.

Property, plant and equipment are revalued at periodic intervals, usually after every five years. The basis of valuation is depreciated replacement cost.

Increases in the carrying amount arising on revaluations are credited to a revaluation surplus. Decreases that offset previous increases of the same asset are charged against the revaluation surplus. All other decreases are charged to the income statement.

Depreciation is calculated on the straight-line method to write off the cost or the revalued amount of each asset to its estimated residual value over its estimated useful life. The annual rates used are:

Land development	2 $\frac{1}{2}$ %
Buildings	2 $\frac{1}{2}$ % - 5%
Factory plant and machinery	5% - 10%
Heavy mobile machinery	12 $\frac{1}{2}$ % - 25%
Motor vehicles	20% - 33 $\frac{1}{3}$ %
Other equipment and fixtures	12 $\frac{1}{2}$ % - 33 $\frac{1}{3}$ %

The annual depreciation on the revaluation surplus element of property, plant and equipment is transferred from the revaluation surplus to retained earnings.

Gains and losses on disposal of property, plant and equipment are determined by reference to their carrying amounts and are taken into account in determining operating profit. On disposal of revalued assets, amounts in the revaluation surplus relating to that asset are transferred to retained earnings.

The carrying values of property, plant and equipment are reviewed annually and adjusted for impairment where it is considered necessary.

Intangible assets

Intangible assets comprise the cost of acquired computer software programmes. Expenditure on acquired computer software programmes is capitalised and amortised using the straight-line method over their estimated useful lives, generally not exceeding three years. The carrying amount of intangible assets is reviewed annually and adjusted for impairment where it is considered necessary. Intangible assets are not revalued.

Inventories

Finished sugar and molasses inventories are stated at the lower of production cost and net realisable value. Production cost comprises expenditure directly incurred in the manufacturing process and an allocation of normal production overheads attributable to the process. Net realisable value represents the estimated selling price less all estimated costs of completion and costs to be incurred in marketing, selling and distribution.

Sugar in process is stated at half the production cost of finished sugar.

1 ACCOUNTING POLICIES (Continued)

Spares, fertilisers, chemicals and other consumable stores are stated at cost net of provisions for obsolescence where applicable. Cost is calculated on the weighted average cost basis and includes the direct purchase cost, insurance, freight and other incidental costs.

Biological assets

Biological assets (cane plantations) and agricultural produce (harvested cane) are stated at their fair values less estimated point-of-sale costs.

The fair value of growing cane is determined based on the present value of expected net cash flows. The fair value of harvested cane is determined based on the prices of cane existing in the market less point-of-sale costs.

Immature growing cane is valued at cost.

Assets held for sale

Non-current assets are classified as held for sale if their carrying amount will be recovered through a sale transaction rather than through continuing use. This condition is regarded as met only when the sale is highly probable and the asset is available for sale in its present condition. Management must be committed to the sale, which should be expected to qualify for recognition as a completed sale within one year from the date of classification. Non-current assets classified as held for sale are measured at the lower of the asset's previous carrying amount and the fair value less costs to sell.

Leases

Leases are classified as finance leases whenever the terms of the lease transfer substantially all the risks and rewards of ownership to the company as the lessee. All other leases are classified as operating leases.

Company as a lessor

Rental income from operating leases is recognised on the straight line basis over the term of the relevant lease.

Company as a lessee

Rentals payable under operating leases are charged to income on the straight-line basis over the term of the relevant lease. Any payment required to be made to the lessor by way of penalty, for termination of leases before the expiry of the lease period, is recognised in the year in which termination takes place.

Payments to acquire leasehold interests in land are treated as prepaid operating lease rentals and amortised over the period of the lease.

Foreign currencies

Assets and liabilities expressed in foreign currencies are translated into Kenya Shillings at the rates of exchange ruling at the balance sheet date. Transactions during the year are translated at the rates ruling at the dates of the transactions. Gains and losses on exchange are dealt with in the income statement.

1 ACCOUNTING POLICIES (Continued)

Research and development expenditure

Expenditure on research activities is recognised as an expense in the period in which it is incurred. An internally generated intangible asset arising from development (or from the developmental phase of an internal project) is recognised if and only if, all of the following have been demonstrated:

- the technical feasibility of completing the intangible asset so that it will be available for use or sale;
- the intention to complete the intangible asset and use or sell it;
- the ability to use or sell the intangible asset;
- how the intangible asset will generate probable future economic benefits;
- the availability of adequate technical, financial and other resources to complete the development and to use or sell the intangible asset; and
- the ability to measure reliably the expenditure attributable to the intangible asset during its development.

The amount initially recognised for internally – generated intangible assets is the sum of the expenditure incurred from the date when the intangible asset first meets recognition criteria listed above. Where no internally- generated intangible asset can be recognised, development expenditure is charged to profit or loss in the period in which it is incurred

Financial instruments

Financial assets and financial liabilities are recognised in the company's balance sheet when the company becomes a party to the contractual provisions of the instrument.

Financial assets

The company classifies its financial assets into the following categories: Financial assets at fair value through profit or loss; loans and receivables; held- to- maturity investments; and available-for-sale assets. Management determines the appropriate classification of its investments at initial recognition.

Financial assets at fair value through profit or loss

This category has two sub-categories: Financial assets held for trading and those designated at fair value through profit or loss at inception. A financial asset is classified in this category if acquired principally for the purpose of selling in the short term or if so designated by management.

Loans and receivables

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. They arise when the company provides money, goods or services directly to a debtor with no intention of trading the receivable.

Held to maturity

Held-to-maturity investments are non-derivative financial assets with fixed or determinable payments and fixed maturities that management has the positive intention and ability to hold to maturity. Where a sale occurs other than an insignificant amount of held-to-maturity assets, the entire category would be tainted and classified as available for sale.

1 ACCOUNTING POLICIES (Continued)

Financial assets (Continued)

Available-for-sale financial assets

Financial assets that are not (a) financial assets at fair value through profit or loss, (b) loans and receivables, or (c) financial assets held to maturity.

Financial assets are initially recognised at fair value plus transaction costs for all financial assets not carried at fair value through profit or loss. Financial assets are derecognised when the rights to receive cash flows from the financial assets have expired or where the company has transferred substantially all risks and rewards of ownership.

Available-for-sale financial assets and financial assets at fair value through profit or loss are subsequently carried at fair value. Loans and receivables and held-to-maturity investments are carried at amortised cost using the effective interest method. Gains and losses arising from changes in the fair value of "financial assets at fair value through profit or loss" are included in the income statement in the period in which they arise. Gains and losses arising from changes in the fair value of available-for-sale financial assets are recognised directly in equity, until the financial asset is derecognised or impaired, at which time the cumulative gain or loss previously recognised in equity is recognised in the income statement.

Cash and cash equivalents

For the purpose of the cash flow statement, cash equivalents include short term liquid investments which are readily convertible to known amounts of cash and which were within three months to maturity when acquired; less advances from banks repayable within three months from the date of the advance.

Financial liabilities

Bank borrowings

Interest bearing loans and overdrafts are recorded at the proceeds received, net of direct costs. Finance charges, including premiums payable on settlement or redemption, are accounted for on the accruals basis and are added to the carrying amount of the instrument to the extent that they are not settled in the period in which they arise.

Trade payables

Trade payables are stated at their nominal value.

Impairment

At each balance sheet date, the company reviews the carrying amounts of its assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the asset's recoverable amount is estimated and an impairment loss is recognised in the income statement whenever the carrying amount of the asset exceeds its recoverable amount. Where an impairment loss subsequently reverses, the carrying amount of the asset is increased to the revised estimate of its recoverable amount, but so that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised for the asset in prior years. A reversal of an impairment loss is recognised immediately in the income statement, unless the relevant asset is carried at a revalued amount, in which case the reversal of the impairment loss is treated as a revaluation increase.

1 ACCOUNTING POLICIES (Continued)

Employee benefits

Defined benefit pension scheme

The company operates a defined benefit post-employment pension scheme for eligible non-unionisable employees. The scheme is funded by contributions from the employees and the company. The assets of the scheme are held and administered independently of the company's assets. The company's contribution to the scheme is charged to the income statement so as to spread the cost over the service lives of the employees. The defined benefit obligation is calculated every three years by independent actuaries using the projected credit unit method. Actuarial gains or losses arising from experience adjustments and changes in actuarial assumptions in excess of the greater of 10% of the value of plan assets or 10% of the defined benefit obligation are charged or credited to income over the employees' expected average remaining working lives. Past-service costs are recognised immediately in the income statement, unless the changes to the pension scheme are conditional on the employees remaining in service for a specified period of time (the vesting period). In this case, the past-service costs are amortised on a straight-line basis over the vesting period.

Defined contribution provident fund

The company operates a defined contribution provident fund for eligible unionisable employees. The fund is administered independently of the company's assets. It is funded by contributions from the company and employees. The company has no legal or constructive obligations to pay further contributions if the fund does not hold sufficient assets to pay all employees the benefits relating to employee service in the current and prior periods.

The company's contributions to the fund are charged to the income statement in the year to which they relate.

The company and its employees also contribute to the statutory National Social Security Fund, which is a defined contribution scheme. The company's obligation is limited to a specified contribution per employee per month. Currently, the contribution is limited to a maximum of Shs 200 per employee per month. The company's contributions are charged to the income statement in the year to which they relate.

Contract gratuity

The company has a fixed term service contract with some of the employees. A contract gratuity of 25% of the basic pay earned over the contract period is paid at the end of the contract. The monetary liability is accrued at the end of each year based on the completed period of service.

Bonus scheme

The company operates a bonus scheme for its employees. The bonus is payable based on achievement of annual performance targets.

Restructuring and rationalisation provisions

Restructuring provisions mainly comprise employee termination payments and are recognized in the period which the company becomes legally or constructively committed to payment.

Provision for staff leave pay

A provision is made to recognise staff entitlements in respect of annual leave not taken as at the end of the financial year.

Dividends

Dividends on ordinary shares are charged to equity in the period in which they are declared.

1 ACCOUNTING POLICIES (Continued)

Segment reporting

The company has only one business segment – sugar production and marketing.

Comparatives

Where necessary, comparative figures have been adjusted to conform with changes in presentation in the current year.

2 CRITICAL JUDGMENTS IN APPLYING THE ENTITY'S ACCOUNTING POLICIES

In the process of applying the entity's accounting policies, management has made estimates and assumptions that affect the reported amounts of assets and liabilities within the next financial period. Estimates and judgments are continually evaluated and are based on historical experience and other factors including expectations of future events that are believed to be reasonable under the circumstances. These are dealt with below:

Biological assets

In determining the fair value of biological assets, the company uses the present value of expected cashflows from the asset discounted at the current market determined pre tax rate. The objective of a calculation of the present value of expected net cash flows is to determine the fair value of a biological asset in its present location and condition. The company considers this in determining an appropriate discount rate to be used and in estimating expected net cash flows. Management uses estimates based on historical data relating to yields and prices of sugar. The methodology and assumptions used for estimating both the amount and timing of future cashflows are reviewed to reduce any differences between estimates and actual experience. The significant assumptions are set out in note 16.

Property, plant and equipment and intangible assets

Critical estimates are made by the directors in determining the useful lives of property, plant and equipment and intangible assets.

Impairment

Determining whether assets are impaired requires an estimation of the value of the assets.

3 REVENUE

	2007 Shs'000	2006 Shs'000
Gross sales	12,864,962	14,255,499
Less: taxes and discounts		
Value Added Tax	(1,781,139)	(1,843,318)
Sugar Development Levy	(702,633)	(754,641)
	(2,483,772)	(2,597,959)
Net sales	10,381,190	11,657,540
Net sales analysed as follows:		
Sugar sales	10,296,879	11,561,242
Molasses sales	84,311	96,298
	10,381,190	11,657,540

Notes to the Financial Statements for the Year Ended 30 June 2007 (continued)

4 STAFF RATIONALISATION COSTS

Staff rationalisation costs represent expenditure incurred during the prior year following a decision to reduce the number of employees in a mutually agreed early retirement scheme.

5 OPERATING PROFIT

Operating profit is arrived at after:

charging:

	2007 Shs'000	2006 Shs'000
Staff costs (note 6)	1,458,749	1,247,718
Subsidy to outgrowers	444,790	324,336
Depreciation of property, plant and equipment (note 11)	586,616	417,826
Amortisation of intangible assets (note 12)	3,682	3,481
Impairment loss on assets held for sale (note 21)	-	59,490
Operating lease rentals (note 31)	18,217	26,144
Directors' emoluments - fees	3,143	3,143
- other	44,087	46,473
Auditors' remuneration	4,829	4,250
Provision for bad and doubtful debts	61,057	115,867
Research and development costs	45,638	-

and crediting:

Gain on disposal of equipment and assets held for sale	856	13,053
Amortisation of grant income	11,605	11,605

Research and development costs represent costs incurred in carrying out a feasibility study on the Development of the TANA DELTA Integrated sugar project in conjunction with Tana and Athi Rivers Development Authority (TARDA).

6 STAFF COSTS

	2007 Shs'000	2006 Shs'000
Salaries and allowances	1,318,531	1,054,766
Production bonus	3,026	65,717
Pension - defined benefit scheme	59,578	64,690
Provident fund	31,092	-
Pension - statutory defined contribution scheme	5,888	7,558
Group life insurance cover	14,994	20,132
Staff gratuity provision	22,813	48,236
Provision/(write back) of leave pay	2,827	(13,381)
	1,458,749	1,247,718

Notes to the Financial Statements for the Year Ended 30 June 2007 (continued)

7 FINANCE INCOME - NET

	2007 Shs'000	2006 Shs'000
Interest income:		
On BOCO and MOCO balances	11,228	123,056
On short term deposits	25,014	54,379
On staff loans	7,056	6,727
On advances to farmers	-	204
	43,298	184,366
Interest expense:		
On loans	(8,671)	(8,589)
On bank overdrafts	(2,127)	(2,089)
	(10,798)	(10,678)
Other finance charges	(5,380)	(13,477)
Net foreign exchange gains	2,294	1,148
	29,414	161,359

During the year MOCO was not charged interest on the outstanding balances in accordance with the terms of an advance agreement as detailed in note 18(a)

8 TAXATION

	2007 Shs'000	2006 Shs'000
(a) Taxation charge		
Current taxation based on the adjusted profit for the year at 30% - current year	389,687	531,275
- prior year over provision	(14,125)	(26,362)
Total current tax charge	375,562	504,913
Deferred tax credit - current year	217,095	161,999
- prior year under provision	(76,374)	26,362
Total deferred tax charge (note 23)	140,721	188,361
	516,283	693,274

Notes to the Financial Statements for the Year Ended 30 June 2007 (continued)

8 TAXATION (Continued)

	2007 Shs'000	2006 Shs'000
(b) Reconciliation of expected tax based on accounting profit to taxation charge		
Accounting profit before taxation	1,909,894	2,219,889
Tax at the applicable rate of 30%	572,968	665,967
Tax effect of expenses not deductible for tax purposes	37,296	34,704
Tax effect of income not taxable	(3,482)	(7,397)
Prior year (over)/underprovision of deferred tax	(76,374)	26,362
Prior year overprovision of current tax	(14,125)	(26,362)
	516,283	693,274
(c) Taxation recoverable		
At beginning of the year	(163,661)	178,336
Prior year overprovision	(14,125)	(26,362)
	(177,786)	151,974
Charge for the year	389,687	531,275
Paid in the year	(414,800)	(846,910)
At end of year	(202,899)	(163,661)

9 EARNINGS PER SHARE

Earnings per share are calculated by dividing the net profit attributable to shareholders by the number of ordinary shares in issue during the year.

	2007	2006
Earnings for purposes of basic and diluted earnings per share (Shs'000)	1,393,611	1,526,615
Number of ordinary shares (thousands)	510,000	510,000
Earnings per share Basic & diluted (Shs)	2.73	2.99

There were no potential dilutive shares outstanding at either 30 June 2007 or 30 June 2006.

10 DIVIDEND

An interim dividend of Shs 0.50 per share (2006 - Shs 0.75), totalling Shs 255 million (2006 - Shs 382.5 million) was declared during the year.

The directors propose that a final dividend of Shs 1.00 per share (2006 - Shs 1.00) be paid to shareholders amounting to a total of Shs 510 million (2006 - Shs 510 million). This dividend is subject to approval by shareholders at an Annual General Meeting to be held on 7 December 2007 and has not been included as a liability in these financial statements.

Notes to the Financial Statements for the Year Ended 30 June 2007 (continued)

11	PROPERTY, PLANT AND EQUIPMENT							
	Land development Shs'000	Buildings Shs'000	Factory plant and machinery Shs'000	Heavy mobile machinery Shs'000	Motor vehicles Shs'000	Other equipment and fixtures Shs'000	Capital work in progress Shs'000	Total Shs'000
COST OR VALUATION								
At 1 July 2005	490,000	1,837,417	4,088,589	321,485	258,242	428,512	411,172	7,835,417
Additions	-	42,134	193,266	46,909	18,874	22,502	314,735	638,420
Transfers to assets held for sale (note 21)	-	-	(2,491)	(4,475)	(17,395)	(1,309)	-	(25,670)
Transfers from capital work in progress	-	902	551,794	-	-	-	(552,696)	-
Disposals	-	(321,000)	321,000	-	-	-	-	-
Reclassifications	253,886	330,151	(1,065,528)	(104,873)	-	-	-	(586,364)
At 1 July 2006	743,886	1,889,604	4,086,630	259,046	259,721	449,705	173,211	7,861,803
Additions	-	8,607	24,394	10,880	14,662	72,206	1,282,000	1,412,749
Transfers to assets held for sale (note 21)	-	-	(99)	(28,269)	(7,388)	(2,440)	-	(38,196)
Transfers from capital work in progress	3,542	2,980	576,552	-	-	-	(583,074)	-
Disposal	-	(399)	-	-	-	-	-	(399)
Transfers to intangible assets (note 12)	-	-	-	-	-	-	(121,523)	(121,523)
At 30 June 2007	747,428	1,900,792	4,687,477	241,657	266,995	519,471	750,614	9,114,434
COMPRISING								
Cost	3,542	11,587	600,946	10,880	257,377	473,412	750,614	2,108,358
Valuation – 1996	-	-	-	-	9,618	46,059	-	55,677
Valuation – 2006	743,886	1,889,205	4,086,531	230,777	-	-	-	6,950,399
	747,428	1,900,792	4,687,477	241,657	266,995	519,471	750,614	9,114,434

11 PROPERTY, PLANT AND EQUIPMENT (Continued)

	Land development Shs'000	Buildings Shs'000	Factory plant and machinery Shs'000	Heavy mobile machinery Shs'000	Motor vehicles Shs'000	Other equipment and fixtures Shs'000	Capital work in progress Shs'000	Total Shs'000
DEPRECIATION								
At 1 July 2005	49,000	255,186	1,041,623	227,344	179,916	326,290	-	2,079,359
Charge for the year	12,250	51,319	283,914	21,121	26,036	23,186	-	417,826
Transfers to assets held for sale (note 21)	-	-	(2,491)	(4,475)	(17,395)	(1,109)	-	(25,470)
Reclassification	-	(61,143)	61,143	-	-	-	-	-
Written back on revaluation	(61,250)	(245,362)	(1,384,189)	(243,990)	-	-	-	(1,934,791)
At 1 July 2006	-	-	-	-	188,557	348,367	-	536,924
Charge for the year	21,848	95,501	355,099	43,966	25,864	44,338	-	586,616
Transfers to assets held for sale (note 21)	-	-	(22)	(3,205)	(7,388)	(1,966)	-	(12,581)
Eliminated on disposal	-	(16)	-	-	-	-	-	(16)
At 30 June 2007	21,848	95,485	355,077	40,761	207,033	390,739	-	1,110,943
NET BOOK VALUE (valuation)								
At 30 June 2007	725,580	1,805,307	4,332,400	200,896	59,962	128,732	750,614	8,003,491
At 30 June 2006	743,886	1,889,604	4,086,630	259,046	71,164	101,338	173,211	7,324,879
NET BOOK VALUE (Cost basis)								
At 30 June 2007	369,135	525,403	3,127,835	97,728	59,964	121,679	750,613	5,052,357
At 30 June 2006	376,471	497,246	2,919,121	119,499	69,251	92,583	173,211	4,247,382

Property and factory plant and machinery were revalued on 30 June 2006, by Lloyd Masika, Registered Valuers and Estate Agents, on a depreciated replacement cost basis.

Included in factory plant and heavy mobile machinery are assets with a carrying value of Shs 60,995,625 (2006 - Shs 72,601,000) acquired under a Road Maintenance Unit package financed by the Kenya Sugar Board.

The balance on capital work-in-progress mainly represents factory expansion works and Information Technology (IT) upgrade projects that were ongoing as at balance sheet date.

All property, plant and equipment have been charged to secure banking facilities as disclosed on note 26.

11 PROPERTY, PLANT AND EQUIPMENT (Continued)

Fully depreciated property, plant and equipment

	Cost/valuation		Normal annual depreciation charge	
	2007 Shs'000	2006 Shs'000	2007 Shs'000	2006 Shs'000
Factory plant and machinery	1,011	-	51	-
Motor vehicles	153,993	168,824	33,016	34,986
Other equipment and fixtures	177,726	187,541	59,236	48,692
	332,730	356,365	92,303	83,678

12 INTANGIBLE ASSETS

Shs'000

COST

At 1 July 2005	48,297
Additions	5,748

At 1 July 2006	54,045
Additions	1,620
Transfer from property, plant and equipment (note 11)	121,523

At 30 June 2007	177,188
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AMORTISATION

At 1 July 2005	46,317
Charge for the year	3,481

At 1 July 2006	49,798
Charge for the year	3,682

At 30 June 2007	53,480
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NET BOOK VALUE

At 30 June 2007	123,708
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At 30 June 2006	4,247
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At 30 June 2007, intangible assets with a cost of Shs 48,209,337 (2006 – Shs 47,132,414) were fully amortised. The normal annual amortisation charge on these assets would have been Shs 16,068,172 (2006 – Shs 15,709,234). The fully amortised software is in use.

13 PREPAID OPERATING LEASE RENTALS

The company owns 4,413.82 hectares of leasehold land. The value of the land is not reflected as prepaid operating lease rentals as the land was allocated to the company by the Government of Kenya at no purchase consideration. The land has been charged to secure banking facilities granted to the company as disclosed on note 26. The land was valued on 30 June 2006, by Lloyd Masika, Registered Valuers and Estate Agents, on open market basis at Shs 500,000,000.

14 NON CURRENT RECEIVABLES

	2007 Shs'000	2006 Shs'000
Staff accounts	136,428	147,718
Less: receivable within one year (included under note 17)	(50,347)	(50,761)
Receivable after one year (non-current)	86,081	96,957

Included in staff accounts is a balance of Shs Nil (2006 – Shs 866,667) due from a director of the company.

Included in the staff accounts balances are staff car loans amounting to Shs 128,942,309 (2006 – Shs 135,535,818) which are registered in joint names of the company and the employees as disclosed in note 34(c).

The effective interest rate on staff loans during the year was 5% (2006 - 5%).

15 INVENTORIES

	2007 Shs'000	2006 Shs'000
Sugar and molasses	864	2,459
Sugar in process	5,470	7,621
	6,334	10,080
Mechanical and electrical spares	390,062	484,847
Fertilisers, chemicals and fuels	36,282	87,070
Other consumables	86,001	53,189
Goods in transit	-	54,657
	518,679	689,843

16 BIOLOGICAL ASSETS

	2007 Sh'000	2006 Sh'000
At beginning of the year	163,203	220,633
Additions at cost	190,336	193,939
Decrease due to harvest	(76,036)	(108,892)
	277,503	305,680
(Loss)/gain arising from changes in fair value attributable to physical changes	(73,744)	154,039
Gain/(loss) arising from changes in fair value attributable to price changes	10,252	(11,562)
	(63,492)	(142,477)
Fair value loss during the year		
Carrying amount at the end of the year	214,011	163,203

Significant assumptions made in determining the fair values of biological assets and agricultural produce are:

- The valuation is based on a market price of Shs 2,228 (2006: Shs 2,000) per tonne of sugar cane.
- Cane at the age of six months and below is assumed to be immature and has no reliably determinable market value. Immature growing cane has been stated at cost.
- The estimated sucrose content per tonne of mature cane (pol value) at various stages of growth will remain constant at between 8.9% and 12.8% depending on the age of the cane across the sugar belt.

With effect from 1 July 1988, Nucleus Estate growing cane ceased to be insured against fire as insurance companies declined to provide cover. No provision has been made in the financial statements for possible losses in the event of any burnt cane which cannot be salvaged.

Notes to the Financial Statements for the Year Ended 30 June 2007 (continued)

17 TRADE AND OTHER RECEIVABLES

	2007 Shs'000	2006 Shs'000
MOCO receivables (note 18a)	1,117,261	806,320
Other receivables and prepayments	577,917	228,126
Trade receivables	252,128	248,212
BOCO receivables (note (18b))	75,351	80,079
Staff receivables	50,347	50,761
Advance to Busia Sugar Co Ltd	40,142	-
Advances to farmers	1,257	1,327
	2,114,403	1,414,825

18 (a) MOCO RECEIVABLES

	Gross amount Shs' 000	Provision for doubtful debt Shs' 000	Net 2007 Shs' 000	Net 2006 Shs' 000
Services recoverable from farmers	864,897	(58,247)	806,650	500,480
Accountancy fees and agricultural extension services	251,453	(251,453)	-	231
Interest receivable from MOCO (see note below)	425,460	(185,620)	239,840	304,272
Other receivables	1,257	-	1,257	1,337
Advance to MOCO	69,514	-	69,514	-
TOTAL (note 18)	1,612,581	(495,320)	1,117,261	806,320

The company provides accountancy and agricultural extension services to farmers on behalf of Mumias Outgrowers Company Limited (MOCO) as provided for in an agreement dated 28 May 1976. MOCO has been unable to source for funds for cane development resulting in the company funding most of the services to farmers. The directors have made provisions for the amounts deemed not recoverable from MOCO due to its inability to meet its obligations as they fall due.

The interest receivable from MOCO has been disputed by MOCO (see note 33).

The advance to MOCO is non interest bearing and is to be repaid to MSC in equal monthly instalments over 60 months.

(b) BOCO RECEIVABLES

	2007 Shs'000	2006 Shs'000
Services recoverable from farmers	41,733	73,507
BOCO current account	11,808	6,572
Advance to BOCO	21,810	-
TOTAL (note 17)	75,351	80,079

The company provides cane development and agricultural extension services to farmers contracted by Busia Outgrowers Company Ltd (BOCO). The amounts due are fully recoverable from farmers on harvest.

The effective interest rate on BOCO advance is 12% per annum and is to be repaid in 28 equal monthly instalments.

Notes to the Financial Statements for the Year Ended 30 June 2007 (continued)

19 TREASURY BILLS – HELD TO MATURITY

	2007 Shs'000	2006 Shs'000
Redemption value	-	600,000
Less: unearned discount	-	(6,492)
	-	593,508

The treasury bills were maturing within 90 days of the acquisition date. The effective interest rate on treasury bills was 8.7% in 2006.

20 SHORT TERM DEPOSITS – HELD TO MATURITY

	2007 Shs'000	2006 Shs'000
Barclays Bank of Kenya Limited	-	608,141

The effective interest rate on short term deposits as at 30 June 2006 was 7.6% and they were to mature within 90 days of the acquisition date.

Notes to the Financial Statements for the Year Ended 30 June 2007 (continued)

21 NON CURENT ASSETS HELD FOR SALE

	Factory plant and equipment Shs'000	Heavy mobile machinery Shs'000	Motor vehicles Shs'000	Other equipment and fixtures Shs'000	Total Shs'000
COST					
At 1 July 2005	303,644	15,783	7,758	5,041	332,226
Transferred from property, plant and equipment (note 11)	2,491	4,475	17,395	1,309	25,670
Disposals	(1,246)	(6,475)	(15,761)	(1,782)	(25,264)
At 1 July 2006	304,889	13,783	9,392	4,568	332,632
Transferred from property, plant and equipment (note 11)	99	28,269	7,388	2,440	38,196
Eliminated on write off	(37,123)	-	-	-	(37,123)
Disposals	(266,521)	-	(1,676)	-	(268,197)
At 30 June 2007	1,344	42,052	15,104	7,008	65,508
DEPRECIATION					
At 1 July 2005	59,986	15,783	7,758	3,164	86,691
Transferred from property, plant and equipment (note 11)	2,491	4,475	17,395	1,109	25,470
Eliminated on disposal	(1,246)	(6,475)	(15,761)	(1,582)	(25,064)
At 1 July 2006	61,231	13,783	9,392	2,691	87,097
Transferred from property, plant and equipment (note 11)	22	3,205	7,388	1,966	12,581
Eliminated on write off	(2,186)	-	-	-	(2,186)
Eliminated on disposal	(57,801)	-	(1,676)	-	(59,477)
At 30 June 2007	1,266	16,988	15,104	4,657	38,015
IMPAIRMENT					
At 1 July 2005	114,468	-	-	-	114,468
Impairment charge for the year	59,490	-	-	-	59,490
At 1 July 2006	173,958	-	-	-	173,958
Eliminated on write off	(34,937)	-	-	-	(34,937)
Eliminated on disposal	(139,021)	-	-	-	(139,021)
At 30 June 2007	-	-	-	-	-
NET BOOK VALUE					
At 30 June 2007	78	25,064	-	2,351	27,493
At 30 June 2006	69,700	-	-	1,877	71,577

Assets held for sale represent assets that the company intends to dispose within the next year in their present condition.

22 SHARE CAPITAL

	2007 Shs'000	2006 Shs'000
Authorised:		
2,500,000 ordinary shares of Shs 2 each	5,000,000	1,090,000
Issued and fully paid:		
510,000,000 ordinary shares of Shs 2 each	1,020,000	1,020,000

23 DEFERRED INCOME TAX LIABILITY

Deferred income taxes are calculated on all temporary differences under the liability method using the enacted tax rate of 30%.

	2007 Shs'000	2006 Shs'000
The net deferred tax liability is attributable to the following items:		
Deferred tax liabilities:		
Accelerated capital allowances	968,266	930,126
Revaluation surpluses	885,340	941,943
Fair value of biological assets	64,205	48,961
Unrealised exchange gains	-	344
	1,917,811	1,921,374
Deferred tax assets:		
Provision for service gratuity	(8,370)	(154,253)
Provision for staff leave pay	(5,859)	(5,532)
Unrealised exchange losses	(853)	-
General doubtful debts provision	(1,955)	(1,536)
	(17,037)	(161,321)
	1,900,774	1,760,053
The movement on the deferred tax account during the year was as follows:		
Balance at beginning of the year	1,760,053	1,167,164
Deferred tax on revaluation of property, plant and equipment	-	404,528
Charge to income statement - note 8(a)	140,721	188,361
Balance at end of the year	1,900,774	1,760,053

24 RETIREMENT BENEFITS OBLIGATIONS

	2007 Shs'000	2006 Shs'000
(a) Provision for service gratuity		
Balance at the beginning of the year	514,177	557,484
(Write back)/provision for the year	(5,065)	48,236
Paid during the year	(481,212)	(91,543)
Balance at the end of the year	27,900	514,177
Maturity analysis		
Within one year	23,837	342,785
After one year	4,063	171,392
	27,900	514,177

(b) Staff retirement defined benefit scheme

Contributions to the company staff retirement defined benefit scheme are determined by the rules of the scheme and totalled Shs 59,578,000 (2006 – Shs 64,690,000) in the year.

An actuarial valuation was carried out as at 30 June 2007 by Alexander Forbes Financial Services (E.A.) Limited. The valuation indicated a past service surplus of Shs 85,400,000, representing a funding level of 108.6%. The Retirement Benefits Regulations 2000 require all schemes to satisfy a minimum funding requirement of 80% of the schemes liabilities, the scheme has satisfied the statutory minimum funding requirements at the valuation date.

Valuation method Projected Unit Method

Principal assumptions:

- Rate of salary inflation	8%
- Rate of return on investments	10%

The next actuarial valuation is scheduled for 30 June 2010.

(c) Statutory contribution scheme

The company's contributions to the statutory National Social Security Fund scheme are determined by statute and totalled Shs 5,941,000 (2006 – Shs 7,558,000) in the year.

(d) Staff provident fund

The company operates a defined contribution provident fund for eligible unionisable employees. The scheme is administered by an independent investment management company and is funded by contributions from the company and employees. The company's contribution in the year totalled Shs 31,092,000 (2006 Shs Nil). The fund was set up during this financial year.

The company's obligations to the staff retirement benefits plans are charged to the income statement as they fall due.

Notes to the Financial Statements for the Year Ended 30 June 2007 (continued)

25 DEFERRED GRANT INCOME

	2007 Shs'000	2006 Shs'000
At the beginning of the year	72,601	84,206
Amortisation for the year	(11,605)	(11,605)
At the end of the year	60,996	72,601

The deferred grant income represents the unarmortised portion of funds received for purpose of purchase of equipment under a Roads Maintenance Unit package financed by the Kenya Sugar Board. The amortisation for the year is equivalent to the depreciation charge for the equipment purchased under the grant.

26 BORROWINGS

	2007 Shs'000	2006 Shs'000
Kenya Sugar Board loans	157,807	301,553
Bank overdrafts	-	43,522
	157,807	345,075
The borrowings are repayable as follows:		
On demand or within one year	157,807	193,707
Due in the second year	-	151,368
	157,807	345,075

The loans from Kenya Sugar Board are fully guaranteed by Kenya Commercial Bank Limited. The effective interest rate on loans during the year was 5% (2006 – 5%).

The effective interest rate on bank overdrafts during the year was 13.75% (2006 - 13.58%).

27 TRADE AND OTHER PAYABLES

	2007 Shs'000	2006 Shs'000
Trade payables	534,948	396,516
Prepaid sales	206,700	265,580
Accruals	154,858	201,699
Out growers	161,797	153,408
Other payables	67,047	258,237
	1,125,350	1,275,440

28 PROVISION FOR STAFF LEAVE PAY

	2007 Shs'000	2006 Shs'000
At the beginning of the year	18,439	40,570
Provision/(write back) during the year	2,827	(13,381)
Paid during the year	(1,737)	(8,750)
At the end of the year	19,529	18,439

Notes to the Financial Statements for the Year Ended 30 June 2007 (continued)

29 DIVIDEND PAYABLE

	2007 Shs'000	2006 Shs'000
At beginning of the year	176,672	108,019
Final dividend declared – 2005/2006	510,000	459,000
Interim dividend declared – 2006/2007	255,000	382,500
	941,672	949,519
Dividend paid	(654,819)	(772,847)
At the end of the year	286,853	176,672

The dividend payable relate substantially to dividends payable to farmer shareholders who had unresolved share certificate issues at the balance sheet date.

30 NOTES TO THE CASH FLOW STATEMENT

	2007 Shs'000	2006 Shs'000
(a) Reconciliation of operating profit to cash generated from operations		
Operating profit	1,880,480	2,058,530
Depreciation	586,616	417,826
Amortisation charge	3,682	3,481
Impairment loss on assets held for sale	-	59,490
Gain on disposal of equipment and assets held for sale	(856)	(13,053)
Foreign exchange gains	2,294	1,148
Amortisation of deferred grant income	(11,605)	(11,605)
Cash generated from operations before working capital changes	2,460,611	2,515,817
Decrease/(increase) in non-current receivables	10,876	(3,085)
(Increase) /decrease in biological assets	(50,808)	57,430
Decrease in inventories	171,164	254,889
Increase in trade and other receivables	(699,578)	(148,726)
Decrease in provision for service gratuity	(486,277)	(43,307)
(Increase)/decrease in trade and other payables	(150,090)	222,515
Increase/(decrease) in provision for staff leave pay	1,090	(22,131)
Cash generated from operations	1,256,988	2,833,402
(b) Loans movement		
At beginning of year (note 26)	301,553	-
Received	-	450,000
Repayment	(150,157)	(150,000)
Accrued interest	6,411	1,553
At end of the year	157,807	301,553

30 NOTES TO THE CASH FLOW STATEMENT (Continued)

	2007 Shs'000	2006 Shs'000
(c) Analysis of the balances of cash and cash equivalents		
Treasury bills	-	593,508
Short term deposits	-	608,141
Cash and bank balances	626,104	740,665
Bank overdrafts (Note 26)	-	(43,522)
	626,104	1,898,792

The company had undrawn committed banking facilities amounting to Shs 1,270 million (2006 – Shs 743 million). The banking facilities consist of term loans, bank overdrafts, guarantees and letters of credit. The banking facilities are secured by legal charges over LR Mumias Sugar Scheme/2 and fixed and floating debentures over all of the company's assets.

31 OPERATING LEASE ARRANGEMENTS

	2007 Shs'000	2006 Shs'000
The company as lessee:		
Minimum lease payments under operating leases recognised in the income statement	18,217	26,144
At the balance sheet date, the company had outstanding commitments under operating leases, payable as follows:		
Within one year	11,695	11,908
In the second to fifth years inclusive	46,779	36,594
	58,474	48,502

Operating lease payments represent rentals payable by the company for certain of its office premises, storage facilities and cane farming. Leases are negotiated for an average term of six years and rentals are fixed for an average of one to two years.

Leases are negotiated for an average term of two years for residential properties and six years for non-residential properties, and rentals are reviewed annually. The leases are cancellable with no penalty when the tenants give three months notice to vacate the premises.

The company as a lessor:

Property rental income earned during the year amounted to Shs 5,116,337 (2006 – Shs 5,012,097). At the balance sheet date, the company had contracted with tenants for the following future lease receivables.

	2007 Shs'000	2006 Shs'000
Within one year	5,486	5,200
In the second to fifth years inclusive	2,036	1,963
	7,522	7,163

Notes to the Financial Statements for the Year Ended 30 June 2007 (continued)

32 CAPITAL COMMITMENTS

	2007 Shs'000	2006 Shs'000
Commitments at the year end for which no provision has been made in these financial statements:		
Authorised and contracted for	3,504,181	347,713
Authorised but not contracted for	776,663	2,887,027
	4,280,844	3,234,740

The capital commitments relate mainly to expenditure on phase 1 of the co-generation project and factory rehabilitation. The company intends to finance these commitments from internally generated funds, loans, overdrafts and equity sources.

33 CONTINGENT LIABILITIES

A former customer has filed a claim in respect of breach of contract. A defence has been entered by the company and the case is pending in court. The directors are of the opinion that the likely liability, if any, should not exceed the provision recognised in the financial statements and the deposit with the court.

MOCO has claimed that the company has overcharged interest of approximately Shs 1.2 billion since 1 January 1998. The directors are of the opinion that the claim is unlikely to succeed. Mumias Sugar Company Limited has placed a claim of Shs 2.6 billion relating to a loan of Shs 190 million advanced to MOCO in 1994 for cane development at an interest rate of 23.5%. The total loan plus accrued interest was repayable in full on or before 31 December 1996, however the amount remains unpaid to date.

34 RELATED PARTY TRANSACTIONS

a) Mumias Outgrowers Company Limited (MOCO)

The company continuously transacts with MOCO, a farmers representative organ. The processes and dealings between MOCO and about 50,000 outgrower farmers contracted to supply sugar cane to Mumias Sugar Company Limited (MSC) are mostly recorded and maintained by MSC. These are all at arms length with prices negotiated between MSC and MOCO. The balances as at 30 June are reflected on notes 18 and 19.

b) Busia Outgrowers Company Limited (BOCO)

The company continuously transacts with BOCO, a farmers representative organ for farmers in the Busia region. These transactions relate to the supply of sugar cane to MSC. These are all at arms length with prices negotiated between MSC and BOCO. The balances as at 30 June are reflected on notes 17 and 18.

c) Staff loans

The company operates a company car loan scheme for managerial and supervisory employees. The balance on that scheme was Shs 128,942,309 (2006 – Shs 135,535,818). The cars are registered in joint names of the company and the employees as security for the car loans.

d) Key management compensation

The remuneration of key management during the year was as follows:

	2007 Sh'000	2006 Sh'000
Salaries and other benefits	49,609	51,065

34 RELATED PARTY TRANSACTIONS (Continued)

	2007 Sh'000	2006 Sh'000
d) Directors' remuneration		
Fees for services as directors	3,143	3,143
Other emoluments	44,087	46,473
TT	47,230	49,616

35 RISK MANAGEMENT POLICIES

The financial risk management objectives and policies are as outlined below:

Credit risk

The company's credit risk is primarily attributable to its trade receivables.

The amounts presented in the balance sheet are net of allowances for doubtful receivables, estimated by the company's management based on prior experience and their assessment of the current economic environment.

The credit risk on trade receivables is limited because most customers are required to provide guarantees issued by reputable banks recommended by the company.

Price risk

The company is exposed to price risks arising from changes in sugar prices. The company does not anticipate that sugar prices will decline significantly in the foreseeable future and, therefore, has not entered into derivative or other contracts to manage the risk of a decline in sugar prices. The company reviews its outlook for sugar prices regularly in considering the need for active financial risk management.

Foreign currency risk

The company is exposed to foreign currency risk on sales, purchases and borrowings that are denominated in a currency other than the Kenya shilling. The currencies giving rise to the this risk are primarily Euros, Pounds Sterling, US Dollars and South African rand.

Liquidity risk

Liquidity risk is the risk that the company will be unable to meet its liabilities when they fall due. The company manages the maturity structure of assets, liabilities and commitments so that cash flows are appropriately matched to ensure that all funding obligations are met when they fall due. Management have arranged for diversified funding sources, both short term and long term, to meet the company's obligations as and when they fall due.

36 INCORPORATION

The company is domiciled and incorporated in Kenya under the Companies Act.

37 CURRENCY

These financial statements are prepared in Kenya Shillings thousands (Shs '000).

Share Member No. _____

The Company Secretary
Mumias Sugar Company Limited
Private Bag
MUMIAS

I/We _____ of _____

Being a *Member/Members of the above named Company, hereby appoint: _____

of _____

Or failing him _____

of _____

as my/our proxy to vote for me/us on *my/our behalf at the Annual General Meeting of the Company to be held on Friday 7 December 2007 and at any adjournment thereof.

Signature(s) _____

Signed this _____ day of _____ 2007.

Notes

1. The address should be that shown in the register of members.
2. In the case of a member being a corporation, this form of proxy must be executed either under its common seal or signed on its behalf by an attorney or officer of the corporation duly authorised.
3. A person appointed to act as a proxy need not be a member of the Company.
4. In case of joint holders, the signature of any one holder will be sufficient but the names of all joint holders should be stated.

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Shareholders admission letter for MSC AGM on 7.12.07

Please complete this letter and note that this admission letter must be produced at the Annual General Meeting by you or your proxy in order to record attendance. Kindly note that only the registered shareholders or their proxy notified to the Company not later than 48 hours before the meeting will be admitted to the meeting.

Name _____

Signature _____

Share account number _____

Annual General Meeting (AGM) of Mumias Sugar Company (MSC) to be held at Tom Mboya Labour College, Ring Road Milimani, Kisumu on Friday 7th December 2007 at 11.00 a.m.

Nambari ya Hisa ya Mwanachama _____

Mumias Sugar Company Limited (MSC)
Private Bag
MUMIAS

Mimi/sisi _____ wa _____

*Nikiwa/Tukiwa *Mwanachama/Wanachama wa Kampuni iliyotajwa hapa juu, namteua: _____

wa _____

Au kumkosesha _____ wa _____

Kama mwakilishi * wangu/wetu *kunipigia/kutupigia kura kwa niaba * yangu/yetu katika Mkutano Mkuu wa kila Mwaka wa kampuni hii utakaofanyika mnamo Ijumaa, Decemba 7, 2007 na kuahirishwa kwokwote baadaye:

*Futa ifaavyo

Sahihi _____

Imetiwa sahihi, leo tarehe _____ Mwezi wa _____ 2007.

Fahamuo

- 1 Anwani inatakiwa iwe iliyotajwa katika rejista ya wanachama
- 2 Katika hali ambayo mwanachama atakuwa shirika, fomu hii ya uwakilishi sharti itolewe pengine chini ya chapa yake ya kawaida au kutiwa sahihi kwa niaba yake na wakili au afisa wa shirika hilo aliyeidhinishwa.
- 3 Mtu aliyeteuliwa mwakilishi hatakiwa tu awe mwanachama wa Kampuni.
- 4 Katika hali ya wamilikaji wa pamoja, sahihi ya mmilikaji yeyote inatoshwa lakini majina ya wamilikaji wote wa pamoja sharti yatajwe.

Kata Hapa

Barua ya kukubaliwa kwa mwenye hisa kuingia katika Mkutano Mkuu wa kila Mwaka wa MSC mnamo 7.12.2007

Tafadhali kamilisha barua hii na ufahamu kuwa barua hii ya kukubaliwa sharti itolewe katika Mkutano Mkuu wa kila Mwaka na wewe au mwakilishi wako kwa ajili ya kuandika huhudhuria. Tafadhali ufahamu kuwa wenye hisa pekee waliosajiliwa au wawakilishi wao waliothibitishwa kwa Kampuni masaa 48 kabla ya mkutano ndiyo watakoruhusiwa katika mkutano.

Jina _____

Sahihi _____

Nambari ya akaunti ya hisa _____

Mkutano Mkuu wa kila Mwaka wa Mumias Sugar Company Limited kufanyika katika Tom Mboya Labour College, Ring Road, Milimani, Kisumu, mnamo Ijumaa, Decemba 7, 2007 saa tano asubuhi.